



cutting through complexity

Project Gemstone

Pre-sale quality of earnings analysis assistance

TRANSACTION SERVICES

December 15, 2013

ADVISORY

Purpose and scope of work

This report is provided to Maple Leaf Foods Inc. (“Client” or “MFI”) pursuant to our engagement letter, dated November 1, 2013 and is subject in all respects to the terms and conditions of that engagement letter, including restrictions on disclosure of this report to third parties.

This report has been prepared by KPMG LLP (“KPMG”) for the internal use of MFI pursuant to the terms of our engagement agreement with Client dated November 1, 2013 (the “Engagement Agreement”). This report is being provided to Client on a confidential basis and may not be disclosed to any other person or entity without the express written consent of KPMG and Client. KPMG neither warrants nor represents that the information contained in this report is accurate, complete, sufficient or appropriate for use by any person or entity other than Client or for any purpose other than set out in the Engagement Agreement. This report may not be relied upon by any person or entity other than Client, and KPMG hereby expressly disclaims any and all responsibility or liability to any person or entity other than Client in connection with their use of this report.

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PRIVATE & CONFIDENTIAL

Michael Vels
Chief Financial Officer
Maple Leaf Foods Inc.
Suite 1500
30 St. Clair Ave. West
Toronto, ON M4V 3A2

December 15, 2013

Dear Mr. Vels

We have completed our limited scope procedures to assist Maple Leaf Foods Inc. ("MFI", "Client" or you") in performing pre-sale vendor initiated assistance on Canada Bread Company, Limited ("Canada Bread" or "Target") in connection with the potential divestiture of its bakery business ("the Transaction"), in accordance with the terms of our engagement letter dated November 1, 2013, including its Terms and Conditions.

Objective

The objective of our engagement was to address matters as described in our engagement letter for consideration by prospective purchasers of Canada Bread. Our work was conducted based on the following access:

- Detailed Monthly Management Control Reports;
- Data room, Confidential Information Memorandum, and Management presentation;
- Access to audit work papers and discussion with the auditors; and
- Meetings and discussions with management including Finance VPs from Fresh, Frozen, and UK, as well as, Corporate VP (MFI).

Each prospective purchaser should complete additional due diligence procedures to the extent it considers necessary.

The scope of our work is to provide information to you and any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether or not to proceed with the transaction.

Basis of Information

The procedures as described in our engagement letter dated November 1, 2013 were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Canada Bread or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information concerning Canada Bread.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Canadian Institute of Chartered Accountants ("CICA"), and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Group's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the CICA to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you from November 1, 2013 to December 15, 2013 inclusive. Since many aspects of the transaction with Canada Bread have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to December 15, 2013.

Because of its special nature, this Report is not suited for any purpose other than to assist Client in its evaluation of Canada Bread. As such and as agreed in the engagement letter, this report may be provided to any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether or not to proceed with a transaction.

Yours truly,

Glossary of terms

\$'000	Thousands of Canadian dollars	GBP	Great Britain Pound
Adj.	Adjusted	GM	Gross margin
AP	Accounts payable	GP	Gross profit
AR	Accounts receivable	IT	Information technology
Avg.	Average	KPI	Key performance indicator
CAD	Canadian dollar	Management	Management of Canada Bread Company, Limited
CBAM	Canada Bread Asset Management LLP	MCR	Management control report
CIM	Confidential Information Memorandum	n.a./ NA	Not applicable
Client/MFI	Maple Leaf Foods Inc.	n.q./ NQ	Non quantifiable
COGS	Cost of good sold	Qx	Three months (Quarter) period ended xx
Company	Canada Bread Company, Limited	QofE	Quality of earnings
DC	Distribution center	RBC	RBC Capital Markets
DPC	Direct product cost	SG&A	Selling, general and administrative
EBITDA	Earnings before interest, taxes, depreciation and amortization	SKU	Stock keeping unit
F	Forecast	TMA	Trade merchandise allowance
FG	Finished goods	TTM	Trailing 12 months
Fresh	Fresh division of Canada Bread Company, Limited	UK	UK division of Canada Bread Company, Limited
Frozen	Frozen division of Canada Bread Company, Limited	US/USA	United States of America
FTE	Full-time equivalent	USD	United States dollar
FYXX	Fiscal year ended December 31, 20XX	VP	Vice president
		YTD	Year-to-date

All figures are denominated in Canadian dollars, unless otherwise stated.

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in connection with this
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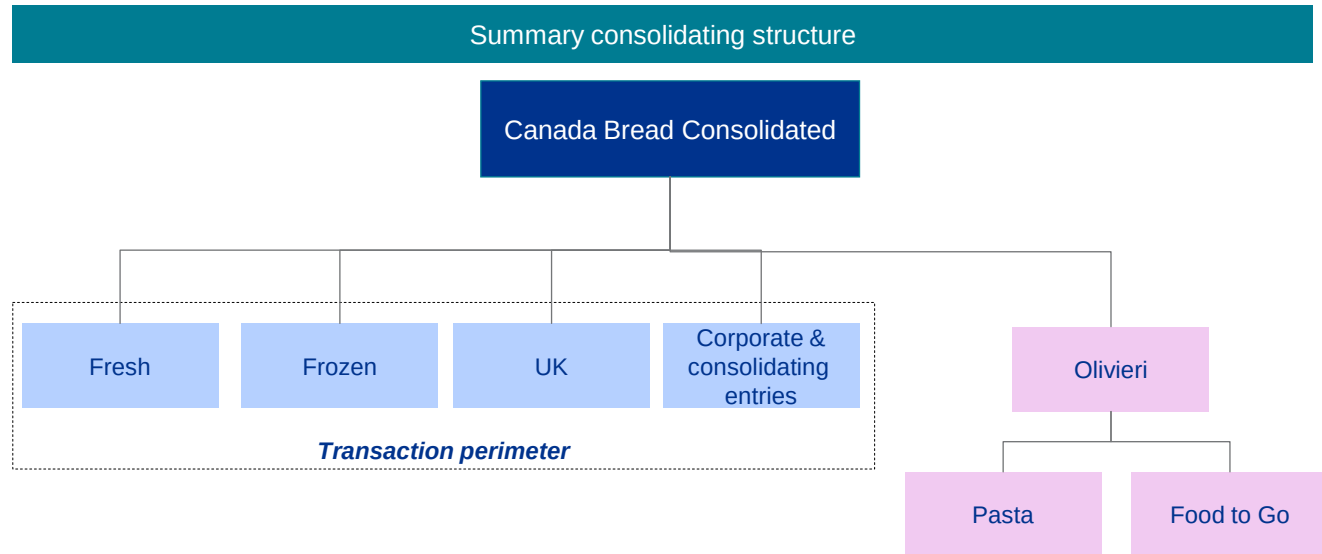
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Quality of earnings

Source of information and organization

The following summarizes the key information sources used in the buildup of the quality of earnings analysis and how the division analysis was prepared.



Overview

- The quality of earnings analysis is prepared based on the following sources of information:
 - **Reporting packs:** Detailed monthly Management Control Reports (“MCR”) for Fresh, Frozen and UK, and annual MCR for Corporate;
 - This data was combined to form the reported EBITDA that was analyzed for the quality of earnings analysis.
 - **Consolidating schedules:** To reconcile the MCR information to the audited financial statements of Canada Bread.
 - The reconciliation includes the breakout of Pasta (or Olivieri division) that was recently sold by Canada Bread. Food to Go represents a sandwich business unit that was sold in February 2011. See Appendix 1 for reconciliation.
 - **Audit work papers:** KPMG LLP’s audit work papers;
 - **Information memorandum:** Confidential Information Memorandum (“CIM”) prepared by Canada Bread, MFI, RBC and Center View Partners dated October 2013;
 - **Meetings/discussions:** held with Finance VPs from Fresh, Frozen, and UK, as well as, Corporate VP (MFI).

Quality of earnings – Overview (1)

Potential EBITDA adjustments as identified in the CIM and additional adjustments considered may increase EBITDA (including MFI allocations) to \$ 196.2 million for TTM September 2013.

Excluding MFI allocations, potential adjusted EBITDA may be \$243.6 million. However, stand alone costs should be considered depending on the potential buyer's own infrastructure. Refer to Other Considerations section for further details.

See the following pages for a detailed breakdown of potential adjustments (quality of earnings) by business unit.

Quality of Earnings - combined					
\$'000	FY11	FY12	Q4-FY12	YTD Sept-13	TTM Sept-13
External sales	1,467,164	1,439,257	359,999	1,097,170	1,457,168
Sales, adjusted	1,385,127	1,395,022	351,583	1,083,562	1,435,145
Net earnings	42,831	79,551	25,299	53,154	78,453
Add/(less):					
Exceptional items + restructuring	50,021	11,763	3,942	14,365	18,307
Tax provision	8,879	32,702	10,204	20,597	30,801
Interest	(574)	(65)	(43)	(608)	(651)
Depreciation	44,275	45,522	11,919	35,087	47,006
EBITDA, reported	145,432	169,472	51,321	122,596	173,917
CIM adjustments to EBITDA	30,711	34,560	5,924	23,251	29,175
EBITDA, CIM (adjusted)	176,142	204,033	57,245	145,847	203,092
<i>EBITDA margin, CIM (adjusted)</i>	<i>12.7%</i>	<i>14.6%</i>	<i>16.3%</i>	<i>13.5%</i>	<i>14.2%</i>
Potential adjustments					
Potential adjustments	(2,656)	(5,841)	(5,785)	(1,076)	(6,862)
EBITDA, potentially adj. incl. allocations	173,486	198,191	51,460	144,770	196,230
<i>EBITDA margin, potentially adjusted</i>	<i>12.5%</i>	<i>14.2%</i>	<i>14.6%</i>	<i>13.4%</i>	<i>13.7%</i>
MFI allocations					
Exclude MFI allocations	42,928	45,061	11,461	35,900	47,361
EBITDA, potentially adj. excl. allocations	216,414	243,252	62,922	180,670	243,591
<i>EBITDA margin, potentially adjusted</i>	<i>15.6%</i>	<i>17.4%</i>	<i>17.9%</i>	<i>16.7%</i>	<i>17.0%</i>

Source: MCR, Management information, KPMG analysis

Basis of presentation

- The quality of earnings schedule illustrates potential adjustments and other factors to be considered which were identified during the course of pre-sale assistance for the fiscal years ended December 31, 2011, 2012, and the nine month period ended September 30, 2013.
- Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may be subjective in nature and require further investigation to understand the potential impact on your proposed transaction.

This adjustment removes the corporate overhead charges to present EBITDA excluding allocation charges. It is our understanding that the Company will provide additional information/analysis on potential stand-alone considerations in a separate analysis. Refer to Other Considerations for further details.

Approximately \$5.8 million of the \$6.8 million adjustments relating to TTM September 2013 relates to Q4-FY12 and will not impact FY13.

Incremental cost savings impact

- The quality of earnings analysis excludes the potential impact of cost saving initiatives that have been implemented at Fresh and Frozen.
- Management estimates the annual savings from these initiatives to be approximately \$26.7 million of which approximately \$7.7 million has been realized in YTD September 2013. Furthermore, an estimated \$1.3 million (net of incremental bonus) is expected to be realized for the remainder of FY13.
- See other considerations section for additional information.

The "EBITDA-CIM (adjusted)" figure presented in the aside analysis differs from the CIM due to update to adjustments. See Appendix 5 for a reconciliation.

Quality of earnings – Overview (2)

Quality of Earnings - Consolidated															
\$'000	FY11					FY12					TTM Sept-13				
	Fresh	Frozen	UK	Corp	Total	Fresh	Frozen	UK	Corp	Total	Fresh	Frozen	UK	Corp	Total
External sales	1,003,191	373,052	159,246	(68,326)	1,467,164	997,396	399,022	133,703	(90,864)	1,439,257	975,718	400,687	139,929	(59,165)	1,457,168
Sales, management adjusted	978,228	373,052	106,552	(72,706)	1,385,127	981,260	399,022	105,604	(90,864)	1,395,022	967,358	400,687	126,265	(59,165)	1,435,145
Net earnings	58,541	14,585	(23,461)	(6,833)	42,831	70,966	28,601	(5,387)	(14,628)	79,551	65,251	35,508	(8,008)	(14,298)	78,453
Add/(less):															
Exceptional + Restructuring items	(2,129)	(8,997)	21,005	40,142	50,021	(9,502)	(13,857)	2,123	32,999	11,763	(2,396)	(15,262)	3,808	32,157	18,307
Tax provision	21,338	459	(489)	(12,430)	8,879	21,131	4,277	(880)	8,174	32,702	21,990	7,491	609	710	30,801
Interest expense	16,097	7,261	755	(24,687)	(574)	17,347	7,079	3,439	(27,931)	(65)	16,836	6,801	2,020	(26,307)	(651)
Depreciation	23,296	14,918	6,074	(14)	44,275	26,865	14,236	5,137	(716)	45,522	28,259	13,709	5,038	-	47,006
EBITDA, reported	117,143	28,225	3,885	(3,821)	145,432	126,806	40,336	4,431	(2,102)	169,472	129,940	48,248	3,468	(7,738)	173,917
CIM adjustments to EBITDA	23,466	180	4,848	2,217	30,711	26,505	3,103	3,713	1,239	34,560	16,931	1,186	7,681	3,377	29,175
EBITDA, CIM (adjusted)	140,609	28,405	8,733	(1,604)	176,142	153,311	43,439	8,145	(863)	204,033	146,871	49,433	11,148	(4,361)	203,092
Other potential adjustments	113	(988)	(1,781)	-	(2,656)	(4,007)	216	(1,270)	(780)	(5,841)	(3,663)	(1,552)	(815)	(832)	(6,862)
EBITDA, adj., incl. MFI allocations	140,722	27,417	6,952	(1,604)	173,486	149,304	43,656	6,874	(1,643)	198,191	143,208	47,881	10,333	(5,193)	196,230
Exclude MFI allocations	29,157	8,619	5,485	(333)	42,928	32,623	7,517	5,200	(279)	45,061	33,255	7,113	4,461	2,532	47,361
EBITDA, adj., excl. MFI allocations	169,879	36,036	12,437	(1,938)	216,414	181,927	51,173	12,074	(1,922)	243,252	176,464	54,994	14,794	(2,661)	243,591
<i>EBITDA, adj., excl. MFI allocations</i>	<i>17.4%</i>	<i>9.7%</i>	<i>11.7%</i>	<i>2.7%</i>	<i>15.6%</i>	<i>18.5%</i>	<i>12.8%</i>	<i>11.4%</i>	<i>2.1%</i>	<i>17.4%</i>	<i>18.2%</i>	<i>13.7%</i>	<i>11.7%</i>	<i>4.5%</i>	<i>17.0%</i>

Source: MCR, Management information, KPMG analysis

Basis of presentation (continued)

- **Net earnings (and interest, taxes, depreciation):** Income statement figures (including net earnings) were based on the MCRs. See Appendix 1 for a reconciliation of the business unit's financial results (MCR) to the audited financial statements. Note - depreciation figures are not broken down by business unit in the audited financial statements, however, the depreciation figures reported in the MCR were used given the other account balances reconcile to the audited financial statements.
- **Exceptional + Restructuring:** Exceptional + restructuring balances are excluded from EBITDA as they are considered non-recurring in nature. These balances represent intercompany debt / tax transactions that eliminate and restructuring transactions including severance, lease cancellation charges, asset write-offs, accelerated depreciation, retention, and other cash costs associated with restructuring events (e.g. plant closures). See consolidated exceptional and restructuring (Appendix 4) for further reconciliation of all business unit amounts and how the amounts tie back to the audited financial statements.
- **Adjustments:** The nature of the adjustments included in the quality of earnings analysis are categorized as follows:
 - **CIM adjustments:** Potential adjustments to reported EBITDA as identified in the CIM;
 - **Incremental CIM adjustments to EBITDA:** Update to the CIM adjustments figures as a result of updated analysis and information used to perform the analysis. See Appendix 5 for a comparison;
 - **Potential adjustments:** Includes additional adjustments to the CIM normalization adjustments. These adjustments are discussed further on the following pages; and
 - **MFI allocations:** MFI provides certain support functions to Canada Bread on a cost recovery basis, either based on specific activity-based drivers or an allocation of general costs. Specifically, these corporate overhead charges include general management, marketing, direct purchasing, six sigma, information services and master data shared services. This adjustment removes the corporate overhead charges to present EBITDA excluding allocation charges. It is our understanding that the Company will provide additional information/analysis on potential stand-alone considerations in a separate analysis. Refer to Other Considerations for further details.

Quality of earnings – Fresh (1)

Reported TTM September 2013 EBITDA of \$129.9 million is adjusted to \$143.2 million (before excluding MFI allocations) based on items identified in the CIM and additional items identified during pre-sale assistance.

See the following pages for additional details.

Quality of Earnings - Fresh					
	FY11	FY12	Q4-FY12	YTD Sept-13	TTM Sept-13
\$'000					
External sales	1,003,191	997,396	243,065	732,654	975,718
CIM adjustments to Sales					
1 Asset divestitures	-	-	-	-	-
2 Restructuring	(24,963)	(16,135)	(4,383)	(3,976)	(8,360)
Sales, management adjusted	978,228	981,260	238,681	728,677	967,358
Net earnings	58,541	70,966	19,954	45,297	65,251
Add/(less):					
Exceptional items + restructuring	(2,129)	(9,502)	(2,262)	(133)	(2,396)
Tax provision	21,338	21,131	6,091	15,899	21,990
Interest expense	16,097	17,347	4,332	12,503	16,836
Depreciation	23,296	26,865	7,181	21,079	28,259
EBITDA, reported	117,143	126,806	35,296	94,644	129,940
EBITDA margin, reported	11.7%	12.7%	14.5%	12.9%	13.3%
CIM adjustments to EBITDA					
1 Asset divestitures	-	-	-	-	-
2 Restructuring	2,773	4,137	171	1,822	1,992
3 Operational inefficiencies	20,846	23,088	4,435	10,660	15,095
4 Other	(153)	(720)	(363)	207	(156)
CIM adjustments	23,466	26,505	4,242	12,689	16,931
EBITDA, CIM	140,609	153,311	39,538	107,333	146,871
EBITDA margin, CIM	14.4%	15.6%	16.6%	14.7%	15.2%
Potential adjustments					
5 Reversal and TMA provision	-	(1,891)	(1,891)	-	(1,891)
6 GR/IR payable write off	(293)	(976)	(149)	(640)	(789)
7 Other income (various)	-	(396)	(1,027)	514	(513)
8 Freight capitalization	81	(185)	(323)	(47)	(370)
9 Severance	(324)	(692)	19	(153)	(133)
10 Variance capitalization	40	(111)	(50)	312	262
11 Bonus	1,446	916	71	-	71
12 Investment tax credit	(837)	(673)	(450)	150	(300)
Potential adjustments	113	(4,007)	(3,799)	136	(3,663)
EBITDA, potentially adj. incl. allocations	140,722	149,304	35,739	107,469	143,208
EBITDA margin, potentially adjusted	14.4%	15.2%	15.0%	14.7%	14.8%
MFI allocations					
13 Exclude MFI allocations	29,157	32,623	8,529	24,726	33,255
EBITDA, potentially adj. excl. allocations	169,879	181,927	44,268	132,195	176,464
EBITDA margin, potentially adjusted	17.4%	18.5%	18.5%	18.1%	18.2%

Source: MCR, Management information, KPMG analysis.

Overview

- Headquartered in Etobicoke, Ontario, Fresh division has approximately 3,400 employees and operates 16 bakeries across Canada.
- Since FY11, Fresh implemented transformative actions that have impacted its financial results and is also reflected within the EBITDA adjustments. The key events include:
 - FY11: Start-up of the new Trillium plant in Hamilton, Ontario.
 - FY12-FY13: As a result of the new Trillium plant, Fresh closed three other pre-existing bakeries (Fraser, Central, and Etobicoke).
 - FY11-FY12: Various distribution centre closures.
 - FY11: Implementation of SAP.
 - In Q3-FY12, Trillium's employees changed to a new union. Due to this change, the risk of strike triggered Fresh to increase production at other bakeries.
 - FY12: Established a new transformation department with a full time team of approximately three FTEs drawn from Fresh's existing personnel to focus on costs savings initiatives. These initiatives are broad based across Fresh whereas previously, cost saving initiatives were focused at the local plant and regional level.
 - FY13: Elimination of Sweet Goods business.
- The consolidation of three pre-existing production plants to one at Trillium resulted in significant non-recurring restructuring costs, start-up costs, and duplicative overhead costs during the time Trillium was operating simultaneously with the other plants.

Incremental cost savings impact

The impact of the transformative team's effort is expected to generate ongoing cost savings of \$20 million of which \$4.3 million have been realized during YTD Sept-13 and an estimated \$0.9 million (net of incremental bonus) is expected to be realized for the remainder of FY13. The remaining cost savings have been factored into Management's FY14 forecast. Refer to Other Considerations section for further details.

CIM adjustments

The following are potential EBITDA adjustments as identified in the CIM. Management has categorized various adjustments in six categories which are presented as follows:

Management adjustments (Fresh)					
#	\$'000	FY11	FY12	Q4-FY12	YTD Sept-13 TTM Sept-13
1 Asset divestitures		-	-	-	-
2.1 Severance pay		548	1,476	4	283
2.2 Vacant plant expenses		982	505	61	335
2.3 EBITDA Sweet Goods Business (Closed)		1,014	1,912	83	1,296
2.4 Disposal of fixed assets		228	244	22	(92)
2 Restructuring		2,773	4,137	171	1,822
3.1 Duplicative overhead of Toronto bakeries		10,455	8,745	1,761	4,287
3.2 Trillium start-up inefficiencies		-	2,016	218	2,597
3.3 Trillium strike contingency		-	720	400	1,440
3.4 Transport costs to cover market shortfalls		-	-	-	680
3.5 Tortilla line installation		-	-	-	603
3.6 SAP implementation costs		2,168	3,383	-	-
3.7 SG&A headcount		8,223	8,223	2,056	1,053
3 Operational inefficiencies		20,846	23,088	4,435	10,660
4.1 Franchisee Route Resale		(153)	(720)	(363)	207
4 Other		(153)	(720)	(363)	207
Total adjustments		23,466	26,505	4,242	12,689

Source: Management information (unaudited)

1. Asset divestitures: There are no adjustments to report under this category.

2. Restructuring

2.1 Severance payments: Management represents that these severance amounts (recorded within other income) are in addition to the restructuring related severances and added back to the reported EBITDA. However, a certain number of these severances are recurring in nature. See adjustment #9 for additional details.

2.2 Vacant plant expenses: These reflect non-recurring operating expenses (property tax, utilities, security etc.) of the Lakewood property which is currently held for sale.

CIM adjustments (cont'd)

2. Restructuring

2.3 EBITDA Sweet Goods Business: The adjustment eliminates the historical EBITDA loss generated by the Sweet Goods Business that was closed in June 2013. The Sweet Goods business operated out of two plants – Shawinigan (closed May 2013) and Grand Falls (closed in June 2013). Refer to Appendix 6 for further details.

2.4 Disposal of fixed assets: Accounting losses (and gains) arising from the disposal of fixed assets are non-cash/non-recurring and therefore excluded from EBITDA.

3. Operational inefficiencies

3.1 Duplicative overheads of Toronto bakeries: In FY11, the Company was operating three smaller bakeries in the Greater Toronto Area. The Company gradually consolidated production at its new Fresh bakery (Trillium) in Hamilton, Ontario, commissioned in mid-2011. Two of these facilities (Fraser and Central) were closed in Q1-FY12. The third bakery in Etobicoke was closed in Q2-FY13. During this period, the concurrent operation of the new and existing bakeries resulted in duplicative overheads.

The adjustment is calculated as the difference between actual overheads incurred for all four bakeries during the period under consideration and Management's estimation of normal overheads for Trillium bakery as budgeted for FY14. Overhead costs include production, utilities, quality control, maintenance, sanitation, etc. For FY12 and TTM Sept-13, the majority of duplicative overheads relate to the Etobicoke bakery as it was closed in Q2-FY13.

Management believes Fresh would be able to produce the same level of volume and product mix in FY11 – TTM September 2013 using the FY14 Trillium overhead budget cost structure (e.g. Fresh is budgeting 70.7 million kg of production in FY14 at Trillium compared to 69.7 kg million for TTM September 2013 and 68.2 million kg for FY12). Refer to Appendix 7 for further details.

CIM adjustments (cont'd)

3.2 Trillium start-up inefficiencies:

- As noted in the previous adjustment, Fresh's Trillium plant is a new \$110 million plant that began operations in FY11. As the plant is still in its early phase of operation, the plant experienced certain inefficiencies and therefore retained a higher level of employees.
- In addition, the main bakery equipment supplier for the Trillium plant, went into bankruptcy just prior to delivery of some of the Trillium equipment. As a result, the Company received little technical support from the manufacturer during the start up phase causing a number of inefficiencies and abnormal unfavorable direct product cost variances. Fresh continues to fine-tune its equipment to maximize efficiencies.
- The direct product cost variances include raw material and packaging costs, and direct labour costs (rate + efficiency + overtime). These variances are calculated as the difference between the standard cost of the volume produced and the actual cost. The 2013 standards for direct product costs represent the expected efficiency levels of the facility. The significant unfavorable variances (e.g. higher level of raw material/packaging waste and overtime, etc) at Trillium was a result of the aforementioned start-up challenges and are expected to be eliminated over time.
- According to Management, FY12 and FY13 standard costs for Trillium also includes provisions for potential inefficiencies relating to the start-up phase as three new lines were commissioned in FY13. Going forward, Management fully expects DPC variances will normalize as the plant migrates from start-up phase to a normal course operation. As a result, the proposed adjustment removes historical "direct product cost variances" (recorded within COGS) from EBITDA.
- Refer to Appendix 13 for a breakdown of direct product cost variances relating to the Trillium plant.

CIM adjustments (cont'd)

- 3.3 Trillium strike contingency:** During Q3-FY12, the incumbent BCT Union was decertified by the Teamsters Union. In preparation for any disruption arising from the inability of the Teamster's union to successfully ratify a new contract, management decided to ramp up production at the Company's other bakeries to avoid any potential lost sales. During Q1 FY13 as contract negotiations were continuing with the Teamsters Union, Management again decided to ramp up production at the Company's other bakeries in preparation for a potential worker strike to avoid any potential sales losses. Consequently, the Company incurred significant line haulage and storage costs for transferring products between plants, and storing higher than normal inventory as a precaution during Q1/Q2 FY13. In addition, this event also led to higher direct product cost variances in the Etobicoke plant. In the end, the Company was able to successfully negotiate and agreement with the Teamster's union and no labour disruption occurred. This event is considered non-recurring thus related costs are added back to reported EBITDA.

Product handling and freezing - Trillium strike		
		TTM
\$'000	FY12	Sept-13
Atlantic - Line haul	(234)	(6)
Quebec - Line haul	(79)	(108)
Ontario - Line haul	(132)	(81)
Ontario - Storage	(229)	(815)
West - Storage	(46)	(46)
DPC difference on Etobicoke SKUs	-	(468)
DPC Variance at Etobicoke	-	(316)
Total	(720)	(1,840)

Source: Management information (unaudited)

- 3.4 Transport costs to cover market shortfalls:** Due to startup inefficiencies at the Company's Trillium bakery, the Company's production was not sufficient to meet customer demands. As a result, the Company incurred incremental non-recurring transportation costs to ship products from the East and Quebec region bakeries to Ontario. These expenses were tracked separately and were based on number of loads, number of trips and number of trays. Refer to Appendix 9 for further details.
- 3.5 Tortilla line transfer installation:** Reflects one-time moving costs related to the transfer of the line from Etobicoke plant to Trillium incurred in May 2013 and was recorded in maintenance expense.

CIM adjustments (cont'd)

- 3.6 SAP implementation costs:** This adjustment eliminates non-recurring costs resulting from disruptions experienced due to the SAP implementation (November 2011 for West and early 2011 for Atlantic).
- These costs included employment costs of additional staff, training and sales waste expenses. The cost of SAP consultants was borne by MFI. Management represents that during the go-live period (November 2011 – June 2012) the Company had to hire temporary inventory controllers to manage the inventory. Due to the new processes, the Company for a short period of time did not manage its supply planning well and incurred elevated levels of sales waste.
 - As presented in Appendix 10, the sales waste adjustment is calculated based on comparison of average monthly sales waste of FY09 and FY10 with the sales waste experienced during the go-live period.
 - Sales waste calculation for West for the period November 2011 to July 2012.
 - Waste calculation for East for the period January 2011 to December 2011.

3.7 SG&A headcount: As part of its cost reduction initiative, Fresh terminated approximately 90 employees in Q1-FY13. Severance payments for this staff reduction were recorded in exceptional items (below EBITDA). This adjustment reflects proforma employment costs savings of the terminated employees in the historical period, net of replacement hires and expected future hires. Refer to Appendix 11 for further details.

4. Other

4.1 Franchisee Route Resale: The Company often reorganizes its routes within its franchise network, resulting in the acquisition of a route from one franchisee and the sale of it to another. The Company records these transactions in other income and these transactions usually result in net impact of nil. During the period under consideration, the Company re-engineered certain routes before it sold them within the franchise network. This resulted in timing differences in buying and selling as well as gains or losses. Given that the Company does not intend to make any gains or losses from such activities, the proposed adjustment to EBITDA removes impact of such gains or losses.

Potential adjustments

The following are additional potential EBITDA adjustments:

5. **Reversal of Quebec TMA provision:** The adjustment relates to the turn back (or reversal) of aged volume incentive accruals. These aged balances were carried forward from prior years and adjusted in FY12 after it was certain that the customers will not claim any old TMAs.
6. **Payable write off:** Management performed a cleanup of payables (relating to 2011 or earlier) which resulted in non-recurring income of \$976,000 in FY12 and \$293,000 in FY11 from the reversal. Accordingly, the adjustment is made to EBITDA to eliminate one-time impact of this reversal.
7. **Other income (various):** There were a number of potential non-recurring items recorded in "Other" within other income. The table below presents a summary of such non-recurring items. Note: Due to a number of clean up entries, FY11 impacts due to timing difference from FY12 or TTM Sept-13 matters are not reflected in the adjustment.

Other income - Non-recurring				
S'000		FY11	FY12	TTM Sept-13
i.	Bad Debt Reserve	-	1,014	1,014
ii.	Adrian's decommissioning costs	-	-	493
iii.	Laval Tax Appeal	-	640	-
iv.	Spare Parts inventory cleanup	-	397	-
v.	Packaging write-off	-	(175)	-
vi.	Correction of billing adjustments	-	(240)	-
vii.	Quebec franchisee receivable	-	(261)	-
viii.	Hamilton PY property tax	-	(500)	-
ix.	CSST Retro adj	-	(480)	(480)
x.	CSST	-	-	(514)
Total		-	396	513

Source: Management information

- i. **Bad debt provision reversal:** Prior to FY12, Canada Bread followed MFI corporate policy on bad-debt provision using a general provision of 1.5% of its receivable and specifically identified receivables. In FY12, the general 1.5% reserve was no longer required. The change was made at the corporate level due to the fact that MFI securitizes its trade receivables. As a result, Canada Bread fully reversed \$1.0 million of bad debt provision in December 2012. The non-recurring reversal of provision was recorded in other income and has been reversed for normalization purposes.

Potential adjustments (cont'd)

- ii. **Adrian's decommissioning costs:** Reflects a reversal of decommissioning costs relating to the Adrian property in November 2012, for which a provision was created in September 2012. The adjustment eliminates the gain resulting from an accounting timing difference.
- iii. **Laval tax appeal:** Relates to a non-recurring gain recorded in September 2012 as a result of winning 2007-2010 property tax assessment appeal relating to the Laval plant.
- iv. **Spare parts inventory cleanup:** Represents reversal of a general accrual for spare parts relating to historical periods prior to FY11.
- v. **Packaging write-off:** Reflects clean up of packaging accruals relating to FY11.
- vi. **Correction of billing adjustments:** Correction of adjustments incorrectly made to the income statement instead of the balance sheet.
- vii. **Quebec franchisee receivable:** Correction of prior year franchisee receivable.
- viii. **Hamilton PY property tax:** Represents true-up of FY11 property tax expense for Trillium plant as an updated FY11 assessment for property tax was not received until some time after the plant had begun operations.
- ix. **CSST Retro adj:** Relates to true-up for Quebec workers' compensation obligations relating to FY09.
- x. **CSST:** Relates to true-up for Quebec workers' compensation obligations primarily relating to FY11

8. Freight capitalization:

- The freight costs associated with inventory are expensed as incurred and are not capitalized into the finished goods inventory valuation. Given that distribution costs are incurred in bringing the inventories to their present location and condition, such costs should be capitalized into inventory.

Potential adjustments (cont'd)

8. Freight capitalization (continued):

- The table below shows the breakdown of freight costs as well as the calculation of freight costs to be capitalized by applying the finished goods inventory turnover rate (same method as the variance capitalization adjustment). For the purposes of this calculation, we have only considered Line Haul freight costs for capitalization as it relates to transfers between production and warehouse facilities. The DSD (sales) costs relate to costs incurred to ship products to customers and as such are correctly included in the cost of goods sold.

Freight expense capitalization			
\$'000	Dec-11	Dec-12	Sep-13
DSD (sales) - MCR Sch 58A_1	13,773	13,776	14,609
Line Haul (transfers) - MCR Sch 58A_2	5,004	4,370	5,578
FG Inventory days per schedule 11 of MCR	3.21	2.41	1.69
Line Haul expenses to be capitalized	536	350	303
Expense for the month capitalized to inventory	536	350	303
Reversal of prior month expense	(326)	(359)	(241)
Net monthly impact to EBITDA	210	(9)	63
Cumulative impact to EBITDA	81	(185)	(370)

Source: MCR

9. **Severance payments:** As noted in adjustment 2.1, an adjustment is made to remove the impact of recurring severance expenses included in Management's severance adjustment. Severances from the elimination of the sweet goods business and elimination of certain senior employee positions (and terminations) were considered non-recurring.

Severance expense adjustment			
\$'000	FY11	FY12	TTM Sept-13
Severance pay expense (in other income)	(548)	(1,476)	(287)
Exclude severance for snr employee considered rare/non-recurring	224	784	154
Net severance adjustment	(324)	(692)	(133)

Source: MCR and Management information

Potential adjustments (cont'd)

10. Variance capitalization:

- The Company records inventory on a standard cost basis. Standard costs are updated at the beginning of each fiscal year to reflect the average expected unit cost for the year. Monthly variances are recorded in the income statement and not capitalized to inventory.
- Inventory turnover for this business is typically less than 15 days. As a result, the impact of expensing variances would result in an approximately 15 day timing difference.
- To reflect actual inventory cost at period end, a portion of the above variance would be allocated to inventory, based on the premise of inventory days. See the following table for this allocation. The auditors similarly prepared an analysis to estimate what portion of variances would be capitalized to the balance sheet. The auditors reflected this calculation in their annual accounting differences schedule.

Capitalization of variances (for the month of)					
\$'000		Dec-10	Dec-11	Dec-12	Sep-13
Net (negative) positive variance	A	1,373	959	1,329	474
FG Inventory days per schedule 11 of MCR	B	2.9	3.2	2.4	1.7
Inventory days per schedule 11 of MCR	C	9.2	11.5	10.8	8.3
Finished goods per Schedule 62 of MCR	D	3,596	4,144	3,191	2,248
Total inventory per Schedule 62 of MCR	E	20,476	22,299	24,343	22,293
Finished goods % of total inventory	F=D/E	17.6%	18.6%	13.1%	10.1%
Variances associated w/ Finished goods	G=F*A	241	178	174	48
Other variances	H=A-G	1,132	780	1,155	426
Total variances	G+H	1,373	959	1,329	474
Variances to be capitalized - FG	(G*B)/Days	23	19	14	3
Variances to be capitalized - Other	(H*C)/Days	336	299	415	114
Total capitalization		358	318	429	117
End of period variance capitalized to inventory			(318)	(429)	(117)
Reversal of opening period variance			358	318	379
Twelve month period impact to EBITDA			40	(111)	262

Source: MCR

- For EBITDA adjustment purposes, the above calculation is quantified on a monthly basis. The amount to be allocated to inventory in a particular month is assumed to flow through cost of sales in the following month (e.g. the Company's inventory days on hand is less than 15 days). The net impact is included in the quality of earnings on a monthly basis.

Potential adjustments (cont'd)

- Bonus:** Bonuses paid for FY11 and FY12 do not equate to the bonus expense recorded. This is due to over/under accruals being carried forward. For indicative purposes, the potential bonus adjustment compares the difference between bonus expense recorded and bonus paid. The bonus paid (e.g. bonus paid in 2013 relating to 2012) is applied on a straight-line basis. For 2013, we applied a bonus monthly run-rate of approximately \$250,000, based on Management's estimation.

Bonus expense adjustment			
\$'000	FY11	FY12	TTM Sept-13
Bonus expense recorded	(4,511)	(3,602)	(2,988)
Actual bonus paid	(3,065)	(2,686)	(2,917)
Indicative bonus expense adjustment	1,446	916	71

Source: Monthly Management reports

- Investment tax credit:** Investment tax credit earned by the Company decreased from \$1 million in FY11 to \$0.5 million in TTM September 2013. This was primarily due to the investment in the Trillium plant which resulted in higher tax credits during FY11 and FY12. According to Management, on a recurring basis, Fresh should expect to earn approximately \$0.2 million of ITC annually. The net difference between the expected normal run-rate compared to reported amounts has been deducted from EBITDA for normalization purposes.
- Exclude MFI allocations:** MFI provides certain support functions to Canada Bread on a cost recovery basis; either based on specific activity-based drivers, or an allocation of general costs. Specifically, these corporate overhead charges include general management, marketing, direct purchasing, six sigma, information services and master data shared services. This adjustment removes the corporate overhead charges to present EBITDA excluding allocation charges. It is our understanding the Company will provide additional information/analysis on potential stand-alone considerations in a separate analysis. Refer to Other Considerations section for further details.

Quality of earnings – Frozen (1)

Reported TTM September 2013 EBITDA of \$48.3 million is adjusted to \$47.9 million (before excluding MFI allocations) based on items identified in the CIM and additional items identified during pre-sale assistance.

See the following pages for additional details.

Quality of Earnings - Frozen					
\$'000	FY11	FY12	Q4-FY12	YTD Sept-13	TTM Sept-13
External sales	373,052	399,022	106,297	294,390	400,687
CIM adjustments to Sales					
1 Asset divestitures	-	-	-	-	-
2 Restructuring	-	-	-	-	-
Sales, management adjusted	373,052	399,022	106,297	294,390	400,687
Net earnings, legal	14,585	28,601	10,290	25,218	35,508
Add/(less):					
Exceptional items + Restructuring	(8,997)	(13,857)	(3,250)	(12,012)	(15,262)
Tax provision	459	4,277	2,566	4,926	7,491
Interest expense	7,261	7,079	1,746	5,055	6,801
Depreciation	14,918	14,236	3,457	10,251	13,709
EBITDA, reported	28,225	40,336	14,809	33,439	48,248
EBITDA margin, reported	7.6%	10.1%	13.9%	11.4%	12.0%
CIM adjustments to EBITDA					
1 Asset divestitures	-	-	-	-	-
2 Restructuring	180	375	42	573	615
3 Operational inefficiencies	-	2,354	144	427	571
4 Other	-	375	-	-	-
CIM adjustments	180	3,103	186	1,000	1,186
EBITDA, CIM	28,405	43,439	14,994	34,439	49,433
EBITDA margin, CIM	7.6%	10.9%	14.1%	11.7%	12.3%
Potential adjustments					
5 Quizno's volume commitments	-	-	(975)	-	(975)
6 Other income / expense	11	(100)	426	(1,015)	(589)
7 Severance	(180)	(100)	(42)	(158)	(200)
8 Bonus	620	(286)	(371)	0	(371)
9 Write-off of old capitalized costs	-	544	544	-	544
10 Variance capitalization adjustment	(399)	158	196	(157)	39
11 Bad debt expense and inventory reversals	(1,040)	-	-	-	-
Potential adjustments	(988)	216	(221)	(1,331)	(1,552)
EBITDA, potentially adj., incl. allocations	27,417	43,656	14,773	33,108	47,881
EBITDA margin, potentially adjusted	7.3%	10.9%	13.9%	11.2%	11.9%
MFI allocations					
12 Exclude MFI allocations	8,619	7,517	1,794	5,319	7,113
EBITDA, potentially adj., excl. allocations	36,036	51,173	16,567	38,426	54,994
EBITDA margin, potentially adjusted	9.7%	12.8%	15.6%	13.1%	13.7%

Source: MCR

Overview

- Headquartered in Chicago, Illinois, the Frozen division has over 1,500 employees and operates seven bakeries across Canada and the US.
- The plants in Canada (Calgary, Rivermede, Viceroy and Pita) primarily produce bagels, crusty bread and laminated dough products. The plants in the US (Roanoke, Oxnard and Grace) primarily produce bread (crusty, hearth and artisan) and bagels.
- Since FY11, Frozen results were primarily impacted by one key event for which EBITDA has been adjusted for:
 - The Roanoke plant located in the state of Virginia is the largest plant in the Frozen division. It runs seven different lines and primarily produces bagels and crusty products. This plant was not operating efficiently for a period of time and there are certain non-recurring costs that were incurred as a result. The inefficiencies were due to management issues and delays in necessary maintenance which caused the plant performance to suffer. Frozen has since hired new management and has invested significant capital expenditure to restore performance of the plant. See Appendix 18 for capital expenditure spend details and Appendix 14 for improvement in Roanoke efficiency metrics.

Incremental cost savings impact

Management implemented certain efficiency projects across all the plants in FY12 and thereby realized savings. The impact of Management's effort is expected to generate ongoing cost savings of \$6.7 million of which \$3.4 million have been realized in YTD Sept-13 and an estimated \$0.4 million (net of incremental bonus) is expected to be realized for the remainder of FY13. The remaining cost savings have been factored into Management's FY14 forecast. Refer to Other Considerations section for further details.

CIM adjustments

The following are potential EBITDA adjustments as identified in the CIM. Management has categorized various adjustments in six categories which are presented as below:

Management adjustments					
#	\$'000	FY11	FY12	Q4-FY12	YTD Sept-13 TTM Sept-13
1	Asset divestiture	-	-	-	-
2.1	Severance	180	375	42	573
2	Restructuring	180	375	42	573
3.1	Roanoke manufacturing variances	-	2,354	144	427
3	Operational efficiencies	-	2,354	144	427
4.1	Management bonus	-	375	-	-
4	Other	-	375	-	-
Total adjustments		180	3,103	186	1,000

Source: Management information

1. **Asset divestitures:** There are no adjustments to report under this category.

2. **Restructuring:**

2.1 Severance payments: Management represents that these severances (recorded within other income) are in addition to the exceptional items related severances that are already added back to reported EBITDA. In September 2012, and January 2013, the Company incurred \$0.3 million and \$0.4 million of severance costs, respectively, which were direct results of new executives added to the business (President and VP Finance). As a result, the management committee was restructured and three key roles were eliminated (VP New Channels, VP HR and Manager Special Projects). This management change was not normal course and was directly attributable to a new leadership change in the organization. Management also represents the eliminated positions will not be replaced.

In addition to severance discussed above, the Company incurred certain severance costs as part of normal course. As such these additional severance costs are reversed in the potential adjustment section.

CIM adjustments (cont'd)

3. **Operational efficiencies:**

3.1 Roanoke manufacturing variances: Roanoke is Frozen's flagship plant and was not operating efficiently in FY12 and Q1-FY13 due to certain management issues and delays in necessary maintenance which caused the plant performance to suffer. This resulted in significant adverse direct product cost (e.g. high level of waste and labour inefficiencies) and overhead spend variances. In addition, during YTD Sept-13, Frozen has made significant capital investments (see Appendix 18) to enhance its production efficiencies, as well as, hired new management to improve profitability. Going forward, Management expects the plant will run according to the 2013 standard cost levels or better. Refer to Appendix 14 for further details.

Roanoke direct product cost variance				
\$'000		FY12	TTM	Sep13
Raw Materials Costs	Volume (Waste)	(1,481)		(520)
Packaging Costs	Volume (Waste)	(160)		(71)
Direct Labor Efficiency		(1,096)		(442)
Direct Labor Rate		343		301
Direct product variance		(2,394)		(732)
Overhead spend		(612)		(2)
Total variance		(3,006)		(734)
Increase in standard cost		652		163
Net variance (to adjusted)		(2,354)		(571)
Capital spend		(630)		(3,558)

Source: Management information (unaudited)

4. **Other**

4.1 Management bonus: During FY12, the Company incurred various one-time consulting and other fees unrelated to the business operations. These costs were recorded in SG&A in Q1-FY12. The proposed adjustment removes the impact of these non-recurring items.

Potential adjustments

The following are additional potential EBITDA adjustments:

5. **Quizno's volume commitments:** Frozen has a minimum purchase commitment from Quizno's (contract expires in 2015). Historically, Quizno's has not met the minimum threshold and pays Frozen for the difference in December. In December 2012, this payment was \$1.3 million and recorded in that month. Furthermore, in 2013, Frozen recorded a catch-up accrual in September 2013 of \$1.1 million and will now accrue the expected volume commitment on a monthly basis.
 - For normalization purposes, the \$1.3 million payment received in December 2012 has been reversed and spread across FY12 on a monthly straight-lined basis, resulting in a TTM Sept-13 net impact of \$1 million.
6. **Other income / expense:** There were a number of potential non-recurring items recorded in other income. The table below presents a summary of such non-recurring items. Note: FY11 impacts due to timing difference from FY12 or TTM Sept-13 matters are not reflected in the adjustment. Please refer to Appendix 15 for a monthly breakdown of the other income adjustment.

Other income			
\$'000	FY11	FY12	TTM Sept-13
I. TMA Accrual true-up	-	147	1,141
2012 Rebate (Sysco) - Recorded	-	-	177
Straightlining of 2012 Rebate (Sysco)	-	(177)	(177)
II. 2012 Rebate (Sysco)	-	(177)	-
III. Wind-up of allowance for doubtful accounts	-	129	129
IV. Gain/loss on disposal of Fixed Assets	(11)	1	(229)
V. True-up to Workers comp accrual	-	-	(452)
Non-recurring other income	(11)	100	589

Source: Management information

TMA Accrual true-up			
\$'000	FY11	FY12	TTM Sept-13
TMA Accrual true-up	-	1,666	2,867
Straightlining of TMA Accrual true-up	-	(2,866)	(716)
Adjusted TMA Accrual true-up	-	(1,200)	2,151
2012 related TMA expenses	-	-	(1,347)
Straightlining of 2012 related TMA expenses	-	1,347	337
Adjusted 2012 related TMA expenses	-	1,347	(1,010)
Net TMA Accrual true-up adjustment	-	147	1,141

Source: Management information

Potential adjustments (cont'd)

6. Other income / expense (cont'd)

i. TMA accrual true-up:

- In YTD Sept-13, the Company undertook a clean-up of their TMA accounts which resulted in reversals of TMA accruals that relate to FY12. This impact was \$1.5 million benefit (net of \$2.9 million income and \$1.3 million in expense that was recorded within the TMA expense account). Although the account clean-up occurs periodically, this balance was larger than normal. Accordingly, the proposed adjustment removes the non-recurring net gain impact from YTD Sept-13 and corrects the amount to FY12.
- Prior year adjustments to TMA occur naturally in this business due to the accrual and payment process. Management anticipates FY14 will benefit from a release of prior year accruals, but currently the impact cannot be quantified.

ii. 2012 rebate (Sysco):

The Company recorded a \$177,000 rebate accrual reduction for Sysco in February 2013; however, this amount related to Q4-FY12. This adjustment removes the impact from YTD Sept-13 and straight lines the impact across Q4-FY12.

iii. Wind-up of allowance for doubtful accounts:

In December 2012, Frozen fully reversed its provision for bad debt expense in light of the change in provisioning policy by MFI. The proposed adjustment eliminates the non-recurring credit impact to EBITDA.

iv. Gain/ loss on disposal of fixed assets:

The proposed adjustment eliminates the non-recurring loss on sale of assets derived from the assets disposed in Roanoke.

v. True-up of workers comp accrual:

Represents unusual true-up of prior period (pre-FY11) balances of workers compensation accrual. The potential adjustment removes the non-recurring impact.

Potential adjustments (cont'd)

7. **Severance:** Adjustment is made to remove the impact of recurring severance expenses included in management's severance adjustment.
8. **Bonus:** Bonuses paid for FY11 and FY12 does not equate to the bonus expense recorded in these periods. This is due to over/under accruals carried forward. For indicative purposes, the potential bonus adjustment compares the difference between bonus expense recorded and the implied bonus paid. The implied bonus paid (e.g. bonus paid in YTD Sept-13 relating to FY12) is applied on a straight-line basis.

Bonus expense adjustment			
\$'000	FY11	FY12	TTM Sept-13
Bonus expense recorded	(2,254)	(1,570)	(1,196)
Actual bonus paid	(1,634)	(1,856)	(1,567)
Indicative bonus expense adjustment	620	(286)	(371)

Source: MCR

Bonus payments			
\$'000	FY11	FY12	TTM Sept-13
Bonus accrual opening balance	(1,938)	(2,008)	(1,838)
Accrual for the month	(2,254)	(1,570)	(1,196)
Implied payment	2,183	1,634	1,843
Bonus accrual closing balance	(2,008)	(1,944)	(1,191)

Source: MCR

9. **Write-off of old capitalized assets:** In December 2012, the Company wrote-off \$544,000 of capitalized costs relating to a project in 2006. The write-off was recorded within the cost of goods sold (variances). This write-down is considered non-recurring and has been added back to EBITDA for normalization purposes.
10. **Variance capitalization:** Similar to Fresh, Frozen does not capitalize variances into inventory. The following table quantifies the indicative variance capitalization impact.

Potential adjustments (cont'd)

10. Variance capitalization (continued):

Capitalization of variances (for the month of)					
\$'000		Dec-10	Dec-11	Dec-12	Sep-13
Net (negative) positive variance	A	33	755	425	627
FG Inventory days per schedule 11 of MCR	B	15.6	15.2	16.4	19.0
Inventory days per schedule 11 of MCR	C	22.6	18.6	21.1	23.4
Finished goods per Schedule 62 of MCR	D	10,672	12,612	13,415	15,628
Total inventory per Schedule 62 of MCR	E	20,403	21,686	23,739	25,452
Finished goods % of total inventory	F=D/E	52.3%	58.2%	56.5%	61.4%
Variances associated with Finished goods	G=F*A	17	439	240	385
Other variances	H=A-G	16	316	185	242
Total variances	G+H	33	755	425	627
Variances to be capitalized - FG	(G*B)/Days	9	223	131	236
Variances to be capitalized - Other	(H*C)/Days	11	196	130	183
Total capitalization		20	419	261	419
Variance for the month capitalized to inventory		(20)	(419)	(261)	(419)
Reversal of prior month variance		n/a	310	566	364
Net monthly variance impact to EBITDA		(20)	(109)	305	(55)
Cumulative variance impact to EBITDA			(399)	158	39

Source: MCR and KPMG analysis

Note on Freight capitalization: As per MFI policy, the Company does not capitalize freight costs (e.g. inbound freight). For accounting purposes, freight cost should be capitalized. However, specific details to quantify this impact for Frozen on a monthly basis is not available at the date of this report. Based on the audit differences, the estimated freight cost that should be capitalized at the end of December was a positive impact of \$56,000 to EBITDA in FY12.

11. **Bad debt expense and inventory reversals:** In FY11, the Company reversed \$320,000 of bad debt provision (related to a FY10 receivable from Quiznos) to income due to collection. This reversal has been removed from EBITDA for normalization purposes. In addition, in September 2011, the Company recorded an adjustment to inventory that resulted in a non-recurring credit to EBITDA. This has been excluded for normalization purposes.
12. **Exclude MFI allocations:** Similar to Fresh, corporate allocations have been eliminated to present EBITDA excluding allocation charges. Refer to Other Considerations for further details.

Quality of earnings – UK (1)

Reported TTM Sept-13 EBITDA of \$3.5 million is adjusted to \$10.3 million (before excluding MFI allocations) based on items identified in the CIM and additional items identified during pre-sale assistance.

See the following pages for additional details.

Quality of Earnings - UK					
\$'000	FY11	FY12	Q4- FY12	YTD Sept-13	TTM Sept-13
External sales	159,246	133,703	36,554	103,375	139,929
CIM adjustments to Sales					
1 Asset divestitures	(52,694)	(28,099)	(4,033)	(9,631)	(13,663)
2 Restructuring	-	-	-	-	-
External sales, management adjusted	106,552	105,604	32,521	93,744	126,265
Net earnings, management	(23,461)	(5,387)	(1,828)	(6,179)	(8,008)
Add/(less):					
Exceptional items + Restructuring	21,005	2,123	1,266	2,542	3,808
Tax provision	(489)	(880)	(181)	790	609
Interest expense	755	3,439	482	1,538	2,020
Depreciation	6,074	5,137	1,281	3,757	5,038
EBITDA, reported	3,885	4,431	1,019	2,448	3,468
EBITDA margin, reported	2.4%	3.3%	2.8%	2.4%	2.5%
CIM adjustments to EBITDA					
1 Asset divestitures	4,373	2,442	302	4,840	5,141
2 Restructuring	-	-	-	-	-
3 Operational inefficiencies	476	1,271	1,271	1,268	2,539
4 Other	-	-	-	-	-
CIM adjustments	4,848	3,713	1,573	6,108	7,681
EBITDA, CIM	8,733	8,145	2,592	8,556	11,148
EBITDA margin, CIM	8.2%	7.7%	8.0%	9.1%	8.8%
Potential adjustments					
5 Bonus adjustment	-	-	(321)	0	(321)
6 Bad Debt provision reversal	-	(379)	(261)	-	(261)
7 Variance capitalization	55	(158)	(106)	(23)	(129)
8 Other income	(1,401)	(733)	(104)	-	(104)
9 Provision reversal	(435)	-	-	-	-
Potential adjustments	(1,781)	(1,270)	(791)	(23)	(815)
EBITDA, potentially adj. incl. allocations	6,952	6,874	1,801	8,533	10,333
EBITDA margin, potentially adjusted	6.5%	6.5%	5.5%	9.1%	8.2%
MFI allocations					
10 Exclude MFI allocations	5,485	5,200	1,100	3,361	4,461
EBITDA, potentially adj. excl. allocations	12,437	12,074	2,901	11,894	14,794
EBITDA margin, potentially adjusted	11.7%	11.4%	8.9%	12.7%	11.7%

Source: MCR, Management information, KPMG analysis.

Overview

- Headquartered in North London, the UK division has over 550 employees and operates two bakeries in Rotherham (bagels) and Maidstone (Viennoiserie).
- Since FY11, the UK division implemented transformative actions that has impacted its financial results and is also reflected in the EBITDA adjustments. The key events include:
 - FY11 – Sale of the Cumbria plant which produced specialty bread.
 - FY11– Closure of the Park Royal plant and consolidation of its Croissants production with Maidstone.
 - FY12– Closure of the Walsall Plant which produced ISB, Sliced and Speciality Bread.
 - FY13 – Sale of Premier Park plant which produced specialty bread.
 - FY12 conversion to SAP from BPCS.
- The closure and sale of the plants noted above resulted in restructuring costs, start-up costs, and operational inefficiency costs during the period being analyzed. The impact of these non-recurring costs have been taken into consideration in the TTM September 2013 EBITDA analysis.
- UK results are converted to Canadian dollars from GBP based on monthly average FX rate provided by the Company.

CIM adjustments

The following are potential EBITDA adjustments as identified in the CIM. Management has categorized various adjustments in six categories which are presented as under:

Management adjustments (UK)						
#	\$'000	FY11	FY12	Q4-FY12	YTD Sep-13	TTM Sep-13
1.1	EBITDA of Specialty business	4,373	2,442	302	551	852
1.2	Loss on sale of Premier Park	-	-	-	4,289	4,289
1	Asset divestitures	4,373	2,442	302	4,840	5,141
2	Restructuring	-	-	-	-	-
3.1	Start-up costs at Maidstone	476	-	-	-	-
3.2	Start-up costs on transfer to 3rd party	-	635	635	450	1,085
3.3	Start-up costs for Tesco Viennoiserie	-	635	635	426	1,062
3.4	Bagel efficiency	-	-	-	392	392
3	Operational inefficiencies	476	1,271	1,271	1,268	2,539
4	Other	-	-	-	-	-
Total adjustments		4,848	3,713	1,573	6,108	7,681

Source: Management provided adjustments

1. Asset divestitures:

1.1 EBITDA of Specialty business: In March 2012, the Company closed its bakery in Walsall as part of its plan to focus production on its core categories of bagels, croissants and specialty bread. Also, in FY13, the Company closed its Premier Park bakery, which produced different categories of bread. The adjustment eliminates historical EBITDA losses generated by these businesses. See Appendix 16 additional details.

1.2 Loss on sale of Premier Park: Represents elimination of one-time loss from the sale of the Premier Park bakery.

2. Restructuring: There are no adjustments to report under this category.

3. Operational efficiencies:

3.1 Start-up costs at Maidstone: The Company's Park Royal bakery was closed in May 2011 and as a result the production was transferred from Park Royal to Maidstone. There were a number of start-up costs (materials, labour and freight) that were associated with this transfer. As these are non-recurring in nature, Management has proposed an adjustment to EBITDA.

CIM adjustments (cont'd)

3. Operational efficiencies (cont'd)

3.2 Start-up costs on transfer to 3rd party: In Q4-FY12, the Company eliminated its in-house freight and distribution services and contracted a third party to perform these services on a go-forward basis. This adjustment reflects the additional costs incurred due to the inefficiencies caused during the transition period between Q4-FY12 to Q2-FY13 (as estimated by Management).

- Rotherham freight costs increased abnormally by 1.5% during Q4-FY12 and 2% in January 2013.
- Maidstone freight costs increased abnormally 3% during Q4-FY12 and 1% during the first half of 2013.
- Refer to Appendix 17 for further details on the historical expense run-rates.

3.3 Start-up costs for Tesco Viennoiserie: In FY12, the Company won a large contract with existing customer, Tesco, to produce their line of ambient products. There were certain additional labour and training costs incurred due to the recruitment of new people as the line was adjusting to accommodate the higher volumes from Tesco. These inefficiencies were non-recurring and have been rectified. Management has proposed an adjustment to EBITDA. The adjustment is estimated by Management based on a 5% abnormal increase in labour cost during Q4 2012 and 1.5% increase in material cost during the first half of 2013 in the Maidstone plant. Refer to Appendix 17 for further details.

3.4 Bagel efficiency: In the first half of 2013 there were additional costs in respect of Rotherham. There were adverse variances on storage, increased freight costs and production inefficiencies due to the level of activity and limited production capacity.

4. Other: There are no adjustments to report under this category.

Potential adjustments

The following are additional potential EBITDA adjustments:

- Bonus adjustment:** Near the end of FY12, Management reversed a portion of its bonus accrual triggering a credit impact to TTM September 2013. For normalization purposes, the FY12 net bonus expense is reapplied to FY12 on a monthly straight-line basis. This will eliminate the non-recurring impact of bonus accrual reversal in TTM Sept-13.

Bonus adjustment			
\$'000	FY11	FY12	TTM Sept-13
Bonuses - General Management	(620)	(205)	(80)
Straightlining of bonus expense	(620)	(205)	(401)
TTM Sept-13 bonus expense, straight lined	-	-	321

Source: MCR

- Bad debts:** In FY12, UK altered its provision for bad-debt in light of the change in provisioning policy by MFI. The proposed adjustment eliminates the non-recurring credit impact to EBITDA.
- Variance capitalization:** Similar to Fresh and Frozen, UK does not capitalize variances. The below table quantifies the indicative variance capitalization impact.

Capitalization of variances (for the month of)					
\$'000		Dec-10	Dec-11	Dec-12	Sep-13
Net (negative) positive variance	A	(485)	(518)	(180)	(169)
FG inventory days per schedule 11 of MCR	B	4.1	4.6	6.7	6.1
Inventory days per schedule 11 of MCR	C	13.7	16.4	16.8	13.1
Finished goods per Schedule 62 of MCR (CAD)	D	1,228	1,506	2,054	1,543
Total inventory per Schedule 62 of MCR (CAD)	E	6,032	6,827	6,079	4,079
Finished goods % of total inventory	F=D/E	20.3%	22.1%	33.8%	37.8%
Variances associated with Finished goods	G=F*A	(99)	(114)	(61)	(64)
Other variances	H=A-G	(386)	(404)	(119)	(105)
Total variances	G+H	(485)	(518)	(180)	(169)
Variances to be capitalized - FG	(G*B)/Days	(13)	(18)	(14)	(13)
Variances to be capitalized - Other	(H*C)/Days	(171)	(221)	(67)	(44)
Total capitalization		(183)	(238)	(81)	(57)
Variance for the month capitalized to inventory		183	238	81	57
Reversal of prior month variance		n/a	(95)	(282)	41
Net monthly variance impact to EBITDA		183	143	(202)	98
Cumulative variance impact to EBITDA		55	(158)	(129)	

Source: Monthly Management Control Reports

Potential adjustments (cont'd)

- Other income:** Included in other income are certain non-recurring gains in FY11 and FY12. The non-recurring gain recorded in FY11 related to insurance claim proceeds and dilapidations accrual release. In FY12 UK changed the estimated useful life of the Rotherham building from 20 years to 40 years, which resulted in a non-recurring accounting gain. These amounts are eliminated from EBITDA for normalization purposes. (The TTM Sept-13 figure represents spillover from amounts recorded in Q4 2012.)

Other income - non-recurring gains			
\$'000	FY11	FY12	TTM Sep-13
Other in other income (£ '000)	882	465	65
Canadian FX rate	1.59	1.58	1.59
Other in other income	1,401	733	104

Source: MCR

- Provision reversal:** The adjustment eliminates a non-recurring gain (net) from the following:
 - \$0.5 million of release of dilapidations provisions relating to Park Royal
 - (\$0.1) million of amortization of grants relating to Cumbria site
- Exclude MFI allocations:** Similar to Fresh and Frozen, corporation allocations have been eliminated to present EBITDA excluding allocation charges. Refer to Other Considerations for further details.

Quality of earnings – Corp (1)

Reported TTM Sept-13 EBITDA of \$(7.7) million is adjusted to \$(5.2) million based on items identified in the CIM and additional items identified during pre-sale assistance.

See the following pages for additional details.

Quality of Earnings - Corp and consolidation entries					
\$'000	FY11	FY12	Q4-FY12	YTD Sept-13	TTM Sept-13
External sales	(68,326)	(90,864)	(25,916)	(33,249)	(59,165)
CIM adjustments to Sales					
1 Asset divestitures	(4,380)	-	-	-	-
2 Restructuring	-	-	-	-	-
External sales, management adjusted	(72,706)	(90,864)	(25,916)	(33,249)	(59,165)
Net earnings	(6,833)	(14,628)	(3,116)	(11,181)	(14,298)
Add/(less):					
Exceptional items + restructuring	40,142	32,999	8,189	23,968	32,157
Tax provision	(12,430)	8,174	1,728	(1,018)	710
Interest	(24,687)	(27,931)	(6,603)	(19,705)	(26,307)
Depreciation	(14)	(716)	-	-	-
EBITDA, reported	(3,821)	(2,102)	197	(7,936)	(7,738)
CIM adjustments to EBITDA					
1 Asset divestitures	2,217	94	(240)	(1,829)	(2,069)
2 Restructuring	-	1,145	163	1,409	1,572
3 Operational inefficiencies	-	-	-	551	551
4 Other	-	-	-	3,323	3,323
CIM adjustments	2,217	1,239	(77)	3,454	3,377
EBITDA, CIM	(1,604)	(863)	120	(4,481)	(4,361)
Potential adjustments					
5 Non-recurring consolidating entries	-	316	(962)	141	(821)
6 Martel settlement	-	(1,406)	-	-	-
7 Severance	-	310	(11)	1	(10)
Potential adjustments	-	(780)	(973)	142	(832)
EBITDA, potentially adj. incl. allocations	(1,604)	(1,643)	(853)	(4,340)	(5,193)
MFI allocations					
8 Exclude MFI allocations	(333)	(279)	38	2,494	2,532
EBITDA, potentially adj. excl. allocations	(1,938)	(1,922)	(815)	(1,846)	(2,661)

Source: MCR, Management information, KPMG analysis

Overview

- The aside table includes the Company's corporate division as well as consolidating and reclassification entries.
- See Appendix 1 for buildup of the amounts included in Corp + consolidation entries (i.e. see "Total Corp" column).

CIM adjustments

The following are potential EBITDA adjustments as identified in the CIM. Management has categorized various adjustments in six categories which are presented as follows:

Management adjustments (Corp) - EBITDA						
#	\$'000	FY11	FY12	Q4-FY12	YTD Sep-13	TTM Sep-13
1.1	EBITDA Food to go loss elimination	2,217	94	(240)	-	(240)
1.2	Gain on sale of PPE	-	-	-	(1,829)	(1,829)
	1 Asset divestitures	2,217	94	(240)	(1,829)	(2,069)
2.1	Plant vacancies	-	1,145	163	1,409	1,572
	2 Restructuring	-	1,145	163	1,409	1,572
3.1	Vacant property impairment charge	-	-	-	551	551
	3 Operational inefficiencies	-	-	-	551	551
4.1	IAS Pension Adjustment	-	-	-	3,323	3,323
	4 Other	-	-	-	3,323	3,323
	Total adjustments	2,217	1,239	(77)	3,454	3,377

Source: Management information

1. Asset divestitures:

- 1.1 EBITDA – Food to go:** The adjustment eliminates the historical EBITDA loss generated by the Food To Go business that was sold in 2011.
- 1.2 Gain on sale of PPE:** Relates to one-time gain on sale of Leon-Harmel distribution centre (\$1.6 million) in March 2013 and Rimouski property (\$0.2 million) in September 2013.

2. Restructuring:

- 2.1 Plant vacancies:** These reflect the operating expenses (property taxes, utilities, salaries etc.) of five vacant plants / properties (Etobicoke, Fraser, Adrian's, Grand Falls and Shawinigan) which are currently held for sale. Upon sale of these properties, no operating costs will be incurred by the Company.

3. Operational inefficiencies

- 3.1 Vacant property impairment charge:** Represents an impairment charge to the Lakewood property. The charge was recorded as a consolidation entry at corporate and not at Fresh. This charge was recorded as part of YTD Sept-13 consolidation.

CIM adjustments (cont'd)

4. Other

- 4.1 Pension adjustment:** For 2013, pension accounting rules were changed whereby, unlike US GAAP or prior Canadian GAAP, asset return assumptions must now be calculated at the same amount as the long-term discount rates used to value liabilities in the pension plans. The (previously positive) spread between asset return assumptions and discount rates are now reflected in Other Comprehensive Income (OCI) and may not be included in the income statement. This has no effect on cash contributions for pensions but resulted in a reduction in earnings in 2013. This IAS19 non-cash pension adjustment has been added back to make it consistent with prior years.

Potential adjustments

The following are additional potential EBITDA adjustments:

5. **Non-recurring consolidation entries:** Upon consolidation of Canada Bread, additional consolidation entries are recorded to true-up the Company's financial results. There are certain consolidation entries which create a non-recurring impact to EBITDA. These entries are reversed for normalization purposes and include the following:

Non-recurring consolidation entries			
\$'000	FY11	FY12	TTM Sep-13
a Sunmaid royalty overpayment	-	-	632
b Bonus provision reversal	-	-	426
c Vacancy costs	-	(316)	(712)
d Bad debt provision adjustment	-	-	475
Total amount to adjust	-	(316)	821

Source: Management information (unaudited)

- a. **Sun-maid royalty overpayment:** In December 2012, Management recorded \$0.8 million of royalty income relating to the full year FY12. The adjustment removes the impact of the royalty income relating to the period from January 2012 to September 2012, by spreading out the amount equally over FY12.
- b. **Bonus provision reversal:** To eliminate the bonus provision reversal adjustment (Corporate performs a top-side true-up upon consolidation). The proposed adjustment eliminates the non-recurring gain to EBITDA.
- c. **Vacancy costs:** Certain vacancy costs are recorded as exceptional item by business units. This entry by corporate reclasses the amount to other income. However, for EBITDA normalization purposes, the vacancy costs are considered non-recurring
- d. **Bad debt provision adjustment:** To reverse the bad debt provision reversal adjustment due to correction of prior period errors. The proposed adjustment eliminates the non-recurring gain to EBITDA.

Potential adjustments (cont'd)

6. **Martel settlement:** This adjustment removes one-time proceeds from a legal settlement of \$1.4 million, related to the Company's fresh sandwich product line, which was sold in 2011. We understand that the proceeds were received by the Company in Q3-FY12, resulting in no adjustment for TTM Sept-13.
7. **Severance:** This relates to one-time relocation expenses for the former President of Fresh Prepared Foods (Olivieri). Given the Olivieri business is not part of the transaction, this expense has been added back to the reported EBITDA.
8. **Exclude MFI allocations:** Similar to other business units, corporate allocations have been eliminated to present EBITDA excluding allocation charges. *Refer to Other Considerations for further details.*

Quality of earnings – Other considerations

Potential incremental cost savings (1)

Potential incremental cost savings impact

- In FY13, the Company implemented various initiatives which may result in annualized cost savings of \$26.7 million as estimated by Management. Savings of approximately \$7.7 million has been realized during YTD September 2013.
- The table below presents a summary of the cost savings initiatives.
- It should be noted that the proforma impact of net savings from these initiatives have not been factored in the quality of earnings analysis.***

Other considerations (Fresh and Frozen)					
\$'000	FY13 savings / (cost)	YTD Sept-13 realized/ (spent)	Remaining	Incremental savings in FY14	Expected total FY14 Annualized
FRESH					
A. Project Simplify	4,955	2,240	2,715	6,699	11,654
B. Line haul and storage cost savings					
Distribution line haul	1,060	440	620	3,457	4,517
Project Panama	1,257	751	506	750	2,007
Distribution DSD	1,272	829	443	500	1,772
Line haul and storage cost savings	3,589	2,020	1,569	4,707	8,296
C. Management compensation	(3,400)	-	(3,400)	-	-
Sub-total Fresh	5,144	4,260	884	11,406	19,950
FROZEN					
D. Efficiency improvement	5,097	3,421	1,676	1,606	6,704
E. Management compensation	(1,240)	-	(1,240)	-	-
Sub-total Frozen	3,857	3,421	436	1,606	6,704
Total estimated net savings/ (cost)	9,002	7,682	1,320	13,012	26,654

Source: Management information

- A. Fresh – Project Simplify:** In FY13, the Company established Project Simplify, a cost savings initiative, to drive profitability growth. These initiatives include portfolio review and SKU rationalization, dough consolidation and input standardization, optimization of packaging / supply. As noted above, the Company expects to achieve incremental EBITDA of \$4.9 million in FY13 (with \$2.2 million achieved to date) with a flow-through \$6.7 million in FY14, for a total of \$11.6 million of annualized savings from Project Simplify. The key drivers of Project Simplify cost savings are fewer SKUs, lower raw material costs, reduced inventory, lower write-downs, fewer changeovers and lower waste levels.

Potential incremental cost savings impact (continued)

- B. Fresh – Line haul and storage cost savings:** This relates to the following three initiatives:
- Distribution line haul:** This initiative is focused on improving efficiency of line haul distribution from bakery to DC and reducing storage cost per unit.
 - Project Panama:** Reflects pro-forma cost savings relating to the salaries, lease and other overheads resulting from the closure of seven distribution centers and depots in Ontario and Quebec.
 - Distribution DSD:** Management represented that currently the full-service model with the franchisee is unattractive and inefficient for franchisees on small distribution drops and at the same time the business overpays on large drops. This initiative includes outsourcing small drops and renegotiation of franchisee contracts to reduce costs.

Line haul and storage cost savings							
\$'000	Region	Savings start date	FY13 savings	YTD Sep-13 realized	Remaining	Incremental savings in FY14	Expected total FY14 Annualized
Distribution line haul							
West RFP	WES	Q3 2013	700	200	500	3,337	4,037
Atlantic RFP	ATL	Q1 2013	360	240	120	120	480
Distribution line haul			1,060	440	620	3,457	4,517
Project Panama							
DC consolidation - Ontario East Con	ONT	Q4 2013	11	-	11	33	44
SC Redesign Ph II	National	Q1 2013	315	210	105	105	420
Gate Closure	QUE	Q4 2013	41	-	41	122	163
Restructure (Panama)	QUE	Q1 2013	135	90	45	45	180
QDNI	QUE	Q1 2013	351	234	117	117	468
DC consolidation - Ontario East Con	ONT	Q4 2013	-	-	-	33	33
West Leaf Frog (West SAP)	WES	Q1 2013	187	125	62	62	249
Saskatoon/ Regina to depots	WES	Q4 2013	33	-	33	98	131
Quebec efficiency improvements (UPM-H)	QUE	Q3 2013	185	93	93	185	370
Plant Closures	ALL	Q2 2013	-	-	-	(51)	(51)
Project Panama			1,257	751	506	750	2,007
Distribution DSD							
LCV Ottawa	QUE	Q1 2013	648	432	216	216	864
Mega Route	QUE	Q1 2013	306	204	102	102	408
Mega Route	QUE	Q1 2013	204	136	68	68	272
Quebec efficiency improvements (UPM-H) - DTS	QUE	Q3 2013	114	57	57	114	228
Distribution DSD			1,272	829	443	500	1,772
Total Linehaul & Storage			3,589	2,020	1,569	4,707	8,296

Source: Fresh Pro Forma Adjustments Detail Dec 2 DRAFT.xlsx

- C. Fresh – Management compensation:** Management has estimated additional bonus entitlements for FY13 based on the Company's year to date results.

Quality of earnings – Other considerations

Potential incremental cost savings (2)

Potential incremental cost savings impact (continued)

D. Frozen – Efficiency improvements:

- During FY13, management implemented cost savings initiatives to help improve efficiencies and profitability. These initiatives were divided into two distinct categories:
 - Supply chain efficiency projects: primarily relates to the loading of additional boxes onto a pallet or more pallets into a truck.
 - Operational savings projects: relate to six sigma and efficiency projects to optimize the manufacturing lines. This primarily results in labour and waste reductions.
- Management represents that the savings are going to be higher in the second half of FY13 (\$1.4 million realized in Q3 and \$1.7 million budgeted for Q4) compared to the first half (\$2.0 million realized savings).
- The FY14 budgeted savings from these projects is \$6.7 million (annualized Q4 budgeted figures). For YTD Sept-13, the actual savings realized is \$3.4 million.

- E. **Frozen – Management compensation:** Management has estimated additional bonus entitlements for FY13 based on the Company's year to date results.

Cost savings summary					
\$'000	FY13 Savings	YTD Sept-13 Realized	Remaining	Incremental savings in FY14	Expected total FY14 Annualized
Operations					
Viceroy	208	145	63	44	252
Rivermede	568	415	152	42	610
Calgary	260	95	165	402	662
Roanoke	898	652	246	85	983
Oxnard	252	157	95	128	381
Grace	355	195	159	283	638
Total operations	2,541	1,660	881	984	3,525
Supply chain					
BU	2,556	1,762	795	622	3,179
Total supply chain	2,556	1,762	795	622	3,179
Grand total	5,097	3,421	1,676	1,606	6,704

Source: management provided information (unaudited)

Quality of earnings – Other considerations

Allocations (1)

The following are other considerations which may be factored in the overall assessment of EBITDA.

Management represents that there is an additional annual impact of \$1 million in allocations related to facilities owned by MFI which are rented out by the Fresh and Frozen divisions. These allocations are not split out separately in the MCR's and therefore have been excluded from the aside table. It is our understanding that the Company will provide additional information as part of the potential stand-alone considerations in a separate analysis.

Allocations

■ MFI allocations:

- As noted in the CIM, MFI allocates costs to the Company related to general, marketing, direct purchasing, six sigma, information services, and master data shared services. These costs may need to be replaced on a go-forward basis depending on the buyer and subject to transition services agreement.
 - The first table summarizes the corporate allocations as presented in the CIM.
 - The second table summarizes the corporate allocation costs recorded at each of the business units (excluding Olivieri) and is derived from the MCR.
- These allocations have been removed from EBITDA to present EBITDA excluding allocation charges (e.g. see Exclude MFI allocation adjustment in the quality of earnings). It is our understanding the Company will provide additional information/analysis on potential stand-alone considerations.

MFI corporate allocations		
\$'000	FY11	FY12
General allocation	(16,000)	(13,000)
Marketing allocation	(4,000)	(3,500)
Direct purchasing	(1,500)	(1,500)
Six sigma	(3,500)	(3,500)
Information services	(22,000)	(26,000)
Master data shared services	(400)	(500)
Total	(47,400)	(48,000)
Allocation to Olivieri	2,000	3,000
Total exc. Olivieri allocation	(45,400)	(45,000)

Source: CIM

MFI corporate allocations reconciliation			
\$'000	FY11	FY12	TTM Sept-13
Fresh	(29,157)	(32,623)	(33,255)
Frozen	(8,619)	(7,517)	(7,113)
UK	(5,485)	(5,200)	(4,461)
Corporate + consol entry	333	279	(2,532)
Total per MCR	(42,928)	(45,061)	(47,361)
Total per CIM	(45,400)	(45,000)	n/a
Revision required for CIM/rounding	2,472	(61)	-
Net	-	-	-

Source: MCR and Management information

Note: The FY11 amount outlined in the original CIM was revised upon further review by Management.

Quality of earnings – Other considerations

Allocations (2)

Allocations (continued)

■ Canada bread shared services allocations:

- The Fresh division incurs shared services charges that are charged to and recovered from Canada Bread and non-Canada Bread (e.g. Pasta (Olivieri) and Rothsay) divisions.
- These allocations include administration, selling, accounting, and payroll services. These allocations are separate from the MFI corporate allocations.
- With respect to Pasta and Rothsay, although these two divisions have been sold and are no longer part of Canada Bread, there is not expected to be any impact to EBITDA. Currently both divisions have transition services agreements with Canada Bread for the next 6-18 months. Once the respective transition services agreements end, it is expected that the personnel and related costs will either transition to Pasta (Olivieri) and Rothsay or may be reduced, resulting in no financial impact to Canada Bread.
- The following summarizes the current arrangement with Pasta and Rothsay:
 - **Pasta (Olivieri):** key services currently provided to the Pasta division include accounts receivable, accounts payable, and food service sales. There is a transition services agreement in effect the term of which is 6 months.
 - **Rothsay:** the key service provided to Rothsay is primarily payroll related. The transition services agreement in effect has a term of 18 months. As such, Rothsay is expected to continue to pay for these services through at least 2014.

Canada Bread - Shared services allocations from Fresh to other divisions			
\$'000	FY11	FY12	TTM Sept-13
Continuing divisions			
Frozen	(2,400)	(2,378)	(2,422)
MLF Corp	(181)	(120)	(148)
UK Bakery	(89)	-	-
Total continuing divisions	(2,670)	(2,498)	(2,570)
Non-Canada Bread divisions			
Pasta	(494)	(655)	(576)
Rothsay	(78)	(116)	(106)
Total discontinued divisions	(572)	(771)	(682)
Total expenses	(3,243)	(3,269)	(3,252)
Shared service income to Fresh	3,242	3,218	3,046
Difference	(0)	(51)	(206)

Source: MCR and Management information (unaudited)

Note: Difference in TTM September 2013 is due to timing difference of when expenses and recovery are recorded by each division. The net amount at each year-end will typically net to nil. The difference included in TTM September 2013 indicates more expenses may have been recorded at the divisions than what Fresh has charged out. Since the amount is not material, no EBITDA adjustment is proposed.

Appendices

1. Consolidating schedules
2. Consolidating schedules - CBAM
3. Consolidating entries
4. Exceptional items and restructuring
5. Reconciliation of CIM adjustments
6. Fresh – Sweet Goods business
7. Fresh – Duplicative overheads
8. Fresh – Trillium strike contingency
9. Fresh – Transport costs to cover shortage
10. Fresh – SAP implementation
11. Fresh – SG&A headcount reduction
12. Fresh – Monthly other income impact
13. Fresh - DPC variances
14. Frozen – Roanoke plant efficiency
15. Frozen – Monthly other income impact
16. UK – Specialty business
17. UK – Start up cost impact expense trends
18. Frozen - Capital expenditure

Appendix 1

Consolidating schedules – FY11

Canada Bread Company, Limited - FY11 consolidation (P&L Account)

\$'000	Corp MCR	Food to go	CBAM	Consol Adj	Oth Income Reclass	Restructuring Reclass	Total Corp	Fresh	Frozen	UK Bakery	Gemstone	Olivieri (pasta)	Canada Bread
Sales	(37,575)	4,380	-	(35,131)	-	-	(68,326)	1,003,191	404,285	159,246	1,498,396	97,059	1,595,456
Cost of goods sold	38,758	(4,857)	-	35,161	(5,434)	-	63,627	(785,202)	(348,961)	(141,140)	(1,211,675)	(72,756)	(1,284,431)
Gross profit	1,183	(477)	-	30	(5,434)	-	(4,698)	217,990	55,324	18,105	286,721	24,303	311,025
Selling	-	(358)	-	-	-	-	(358)	(25,304)	(13,392)	(1,297)	(40,350)	(3,972)	(44,322)
Marketing	-	(71)	-	-	-	-	(71)	(16,173)	(3,675)	(4,354)	(24,274)	(2,649)	(26,923)
Advertising & promotions	-	(4)	-	-	-	-	(4)	(21,682)	(2,126)	(3,284)	(27,097)	(3,377)	(30,473)
Administration	-	(218)	(319)	-	-	-	(538)	(40,684)	(8,588)	(7,783)	(57,593)	(2,105)	(59,698)
General management	(838)	(105)	-	381	-	(0)	(562)	(17,720)	(9,661)	(3,862)	(31,804)	(2,877)	(34,681)
Six Sigma	(57)	-	-	-	-	-	(57)	(2,805)	(1,426)	(639)	(4,928)	(208)	(5,136)
Total SG&A	(895)	(757)	(319)	381	-	(0)	(1,591)	(124,368)	(38,868)	(21,219)	(186,046)	(15,188)	(201,233)
Operating earnings	287	(1,234)	(319)	411	(5,434)	(0)	(6,289)	93,622	16,456	(3,114)	100,675	9,116	109,791
Restructuring Costs	-	-	-	-	-	(46,357)	(46,357)	-	-	-	(46,357)	-	(46,357)
Other income / (expense)	48,216	(983)	(153)	(50,033)	5,434	-	2,481	225	(3,149)	925	482	(68)	414
EBIT	48,504	(2,217)	(472)	(49,622)	-	(46,357)	(50,164)	93,847	13,307	(2,189)	54,800	9,048	63,848
Interest	(13,261)	(1,328)	2,895	36,380	-	-	24,687	(16,097)	(7,261)	(755)	574	(1,626)	(1,052)
EBT	35,243	(3,544)	2,423	(13,242)	-	(46,357)	(25,477)	77,749	6,047	(2,944)	55,374	7,422	62,796
Tax provision	(9,716)	471	(61)	10,731	-	11,005	12,430	(21,338)	(459)	489	(8,879)	(1,966)	(10,844)
Earnings before minority interest	25,527	(3,074)	2,362	(2,511)	-	(35,352)	(13,048)	56,411	5,588	(2,456)	46,496	5,456	51,952
Exceptional items	(468)	(2,957)	-	(25,679)	(0)	35,318	6,214	2,129	8,997	(21,005)	(3,664)	3,664	(0)
Net earnings	25,059	(6,030)	2,362	(28,190)	(0)	(34)	(6,833)	58,541	14,585	(23,461)	42,831	9,121	51,952

Source: management provided information (unaudited)

- **Canada Bread:** Canada Bread column ties back to audited financial statements for FY11 and FY12 and published accounts for YTD Sept-12 and YTD Sept-13.
- **Olivieri (Pasta):** This division has been sold by CB and is not included in the transaction perimeter.
- **Fresh/Frozen/UK Bakery/Corp MCR:** MCR data was used to build up the Fresh, Frozen, UK, and Corp information.
- **Food to go/CBAM/Consol adj./reclasses:** This set of data was obtained from CB's consolidating worksheets.
 - **Food to go:** This represents the sandwich business and its financial results. The sandwich business was sold in 2011 and its historical results have been excluded (see CIM adjustments).
 - **CBAM :** primarily relates to administrative and operating expense costs flowing through for the upkeep of the entity. See Appendix 2 for additional details.

- **Consol adj.:** These represent topside consolidation entries recorded at consolidation level. See Appendix 3.
- **Other income reclass:** Represents a reclassification of other income figures to cost of sales. No impact to EBITDA as individual other income items for each business unit have been analyzed separately.
- **Restructuring reclassifications:** Restructuring expenses are excluded from EBITDA. See Appendix 4.

Appendix 1

Consolidating schedules – FY12

Canada Bread Company, Limited - FY12 consolidation (P&L Account)

\$'000	Corp MCR	Food to go	CBAM	Consol Adj	Oth Income Reclass	Restructuring Reclass	Total Corp	Fresh	Frozen	UK Bakery	Gemstone	Olivieri (pasta)	Canada Bread
Sales	(47,130)	-	-	(43,734)	-	-	(90,864)	997,396	438,434	133,703	1,478,669	88,631	1,567,300
Cost of goods sold	46,442	-	-	43,734	(1,182)	-	88,993	(776,550)	(375,812)	(114,450)	(1,177,819)	(77,941)	(1,255,760)
Gross profit	(688)	-	-	(0)	(1,182)	-	(1,871)	220,845	62,622	19,253	300,850	10,690	311,540
Selling	-	-	-	-	-	-	-	(26,246)	(13,594)	(1,226)	(41,066)	(4,316)	(45,382)
Marketing	-	-	-	843	-	-	843	(16,042)	(3,607)	(3,754)	(22,560)	(2,830)	(25,390)
Advertising & promotions	-	-	-	-	-	-	-	(21,338)	(1,771)	(2,883)	(25,992)	(3,982)	(29,975)
Administration	-	-	(208)	1,317	-	-	1,109	(41,804)	(9,312)	(7,962)	(57,969)	(2,426)	(60,395)
General management	(1,730)	-	-	1,949	-	(0)	218	(15,856)	(7,924)	(3,738)	(27,299)	(3,122)	(30,421)
Six Sigma	-	-	-	-	-	-	-	(2,227)	(1,259)	(434)	(3,920)	(189)	(4,109)
Total SG&A	(1,730)	-	(208)	4,109	-	(0)	2,171	(123,513)	(37,467)	(19,997)	(178,806)	(16,865)	(195,672)
Operating earnings	(2,419)	-	(208)	4,109	(1,182)	(0)	300	97,332	25,154	(743)	122,044	(6,175)	115,868
Restructuring Costs	-	-	-	-	-	(11,073)	(11,073)	-	-	-	(11,073)	-	(11,073)
Other income / (expense)	2,664	(94)	5,845	(11,282)	1,182	-	(1,686)	2,609	946	38	1,907	(272)	1,635
EBIT	245	(94)	5,637	(7,173)	-	(11,074)	(12,459)	99,942	26,100	(706)	112,877	(6,447)	106,430
Interest	(12,528)	(85)	2,878	37,666	-	-	27,931	(17,347)	(7,079)	(3,439)	65	(1,612)	(1,547)
EBT	(12,283)	(180)	8,515	30,492	-	(11,074)	15,472	82,594	19,021	(4,144)	112,942	(8,059)	104,883
Tax provision	3,193	45	(57)	(13,812)	-	2,458	(8,174)	(21,131)	(4,277)	880	(32,702)	2,018	(30,683)
Earnings before minority interest	(9,089)	(135)	8,458	16,680	-	(8,616)	7,298	61,463	14,744	(3,264)	80,241	(6,041)	74,200
Exceptional items	(277)	(1,142)	-	(29,122)	(0)	8,615	(21,926)	9,502	13,857	(2,123)	(690)	690	(0)
Net earnings	(9,366)	(1,277)	8,458	(12,442)	(0)	(0)	(14,628)	70,966	28,601	(5,387)	79,551	(5,351)	74,200

Source: management provided information (unaudited)

■ See previous page for descriptions of the consolidating entries (columns).

Appendix 1

Consolidating schedules – YTD Sept-12

Canada Bread Company, Limited - YTD Sep-12 consolidation (P&L Account)

	Corp MCR	Consol Adj	CBAM	Food to go	Oth Income Reclass	Restructuring Reclass	Total Corp	Fresh	Frozen	UK Bakery	Gemstone	Olivieri (pasta)	Canada Bread
Sales	(32,672)	(32,275)	-	-	-	-	(64,948)	754,331	321,842	97,150	1,108,375	68,224	1,176,599
Cost of Goods Sold	32,183	32,076	-	-	(3,212)	-	61,047	(588,504)	(279,537)	(81,785)	(888,779)	(58,008)	(946,787)
Gross profit	(489)	(199)	-	-	(3,212)	-	(3,901)	165,827	42,305	15,365	219,596	10,216	229,812
Selling	-	-	-	-	-	-	-	(19,715)	(10,281)	(882)	(30,877)	(3,151)	(34,029)
Total Marketing	-	-	-	-	-	-	-	(12,540)	(2,857)	(2,615)	(18,012)	(2,086)	(20,097)
Advertising & promotions	-	-	-	-	-	-	-	(15,149)	(1,000)	(2,826)	(18,975)	(2,445)	(21,420)
Administration	-	-	(131)	-	-	-	(131)	(31,579)	(7,024)	(5,916)	(44,650)	(1,845)	(46,495)
General management	(1,266)	1,523	-	-	-	(0)	257	(11,893)	(6,304)	(3,319)	(21,259)	(2,779)	(24,038)
Six Sigma	-	-	-	-	-	-	-	(1,778)	(1,035)	(346)	(3,158)	(151)	(3,309)
Total SG&A	(1,266)	1,523	(131)	-	-	(0)	125	(92,653)	(28,501)	(15,903)	(136,931)	(12,457)	(149,388)
Restructuring Costs	-	-	-	-	-	(7,259)	(7,259)	-	-	-	(7,259)	-	(7,259)
Other income / expense	3,077	(3,819)	57	(334)	3,212	-	2,192	(1,348)	944	94	1,883	(525)	1,358
EBIT	1,322	(2,496)	(75)	(334)	-	(7,260)	(8,842)	71,827	14,749	(444)	77,289	(2,766)	74,523
Interest expense	(9,233)	28,491	2,156	(85)	-	-	21,328	(13,015)	(5,333)	(2,957)	22	(1,215)	(1,193)
EBT	(7,911)	25,995	2,081	(420)	-	(7,260)	12,486	58,811	9,416	(3,401)	77,312	(3,981)	73,331
Tax provision	2,055	(10,221)	(49)	105	-	1,663	(6,446)	(15,040)	(1,711)	699	(22,498)	997	(21,501)
Earnings before minority interest	(5,856)	15,774	2,032	(315)	-	(5,597)	6,039	43,772	7,704	(2,702)	54,814	(2,984)	51,829
Exceptional items	(193)	(22,091)	-	(864)	(0)	5,596	(17,551)	7,240	10,606	(857)	(562)	561	(0)
Net earnings	(6,049)	(6,317)	2,032	(1,178)	(0)	(0)	(11,512)	51,012	18,311	(3,558)	54,252	(2,423)	51,829

Source: management provided information (unaudited)

■ See previous page for descriptions of the consolidating entries (columns).

Appendix 1

Consolidating schedules – YTD Sept-13

Canada Bread Company, Limited - YTD Sep-13 consolidation (P&L Account)

\$'000	Corp MCR	Consol Adj	CBAM	Total Corp	Fresh	Frozen	UK Bakery	Gemstone	Olivieri (pasta)	Canada Bread
Sales	(32,824)	(425)	-	(33,249)	732,318	291,127	103,376	1,093,573	65,263	1,158,836
Cost of goods sold	31,725	1,681	-	33,406	(576,285)	(241,574)	(83,964)	(868,416)	(54,922)	(923,338)
Gross profit	(1,099)	1,255	-	156	156,034	49,554	19,412	225,156	10,341	235,498
Selling	-	-	-	-	(19,304)	(10,229)	(869)	(30,403)	(3,271)	(33,674)
Marketing	-	(351)	-	(351)	(8,229)	(2,928)	(2,407)	(13,915)	(1,783)	(15,698)
Advertising & promotions	-	-	-	-	(12,037)	(1,261)	(3,598)	(16,896)	(2,516)	(19,412)
Administration	-	(1,736)	(139)	(1,875)	(29,419)	(7,176)	(6,448)	(44,918)	(2,135)	(47,052)
General management	(1,588)	(408)	-	(1,997)	(11,582)	(6,009)	(2,321)	(21,909)	(2,076)	(23,985)
Six Sigma	-	-	-	-	(1,896)	(784)	(356)	(3,036)	(179)	(3,215)
Total SG&A	(1,588)	(2,495)	(139)	(4,222)	(82,468)	(28,387)	(16,000)	(131,077)	(11,960)	(143,037)
Operational earnings	(2,687)	(1,240)	(139)	(4,066)	73,566	21,167	3,413	94,079	(1,619)	92,461
Other income / (expense)	379	(4,280)	32	(3,869)	(1)	2,021	(4,721)	(6,570)	1,434	(5,136)
EBIT	(2,309)	(5,520)	(107)	(7,936)	73,566	23,187	(1,309)	87,509	(185)	87,324
Interest	(10,788)	28,507	1,986	19,705	(12,503)	(5,055)	(1,538)	608	(1,223)	(615)
EBT	(13,097)	22,987	1,879	11,769	61,062	18,132	(2,847)	88,117	(1,407)	86,710
Tax Provision	3,418	(1,973)	(428)	1,018	(15,899)	(4,926)	(790)	(20,597)	355	(20,243)
Earnings Before Restructuring and Other	(9,679)	21,014	1,451	12,787	45,163	13,207	(3,637)	67,520	(1,053)	66,467
Restructuring Items	-	(1,797)	-	(1,797)	(9,188)	(267)	(3,628)	(14,880)	(288)	(15,168)
Net Earnings - Management	(9,679)	19,217	1,451	10,989	35,976	12,939	(7,265)	52,640	(1,341)	51,299
Recap interest offset	-	(30,132)	-	(30,132)	12,609	16,777	1,432	686	(686)	0
Tax on recap interest offset	-	7,961	-	7,961	(3,291)	(4,499)	(344)	(173)	173	(0)
Net Earnings - Legal	(9,679)	(2,954)	1,451	(11,181)	45,294	25,217	(6,176)	53,153	(1,854)	51,299

Source: management provided information (unaudited)

■ See previous page for descriptions of the consolidating entries (columns).

Consolidating schedules – CBAM

CBAM			
	FY11	FY12	TTM Sep-13
\$'000			
Sales	-	-	-
Gross profit	-	-	-
Administration expense	(319)	(208)	(216)
Operating earnings	(319)	(208)	(216)
Other income (FX)	(153)	5,845	5,821
EBIT	(472)	5,637	5,605

Source: Management information (unaudited)

Administration expenses		
\$'000	FY11	FY12
Administration fee	(168)	(101)
Personnel costs	(22)	(21)
Professional fees including legal and audit	(106)	(62)
Other operational expense	(23)	(24)
Total administration expenses	(319)	(208)

Source: Management information (unaudited)

Primarily relates to foreign exchange. In FY12 (and as a result, TTM Sept-13), there is a correcting "consolidating entry" expense of \$5.862 million which offsets the FX gain recorded at CBAM.

Appendix 3

Consolidating entries

Consolidation entries																				
\$'000	FY11				FY12				YTD Sep-12				YTD Sep-13				TTM Sep-13			
	Re-class	Elim.	Other	Total	Re-class	Elim.	Other	Total	Re-class	Elim.	Other	Total	Re-class	Elim.	Other	Total	Re-class	Elim.	Other	Total
Sales elimination	(35,131)	-	-	(35,131)	(43,734)	-	-	(43,734)	(32,275)	-	-	(32,275)	(425)	-	-	(425)	(11,884)	-	-	(11,884)
Intercompany sales eliminations	35,131	-	-	35,131	43,734	-	-	43,734	32,275	-	-	32,275	425	-	-	425	11,884	-	-	11,884
Intercompany balance sheet elimin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(109)	(109)	-	-	(109)	(109)
Payroll accrual correction	-	-	415	415	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Pension adjustment	-	-	-	-	-	-	-	-	-	-	(199)	(199)	461	-	-	461	461	-	199	660
Reclass from other income	-	-	-	-	-	-	-	-	-	-	-	-	903	-	-	903	903	-	-	903
Accrual correction	-	-	(385)	(385)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of goods sold elimination	35,131	-	30	35,161	43,734	-	-	43,734	32,275	-	(199)	32,076	1,789	-	(109)	1,680	13,248	-	90	13,338
Gross profit	-	-	30	30	-	-	-	-	-	-	(199)	(199)	1,364	-	(109)	1,255	1,364	-	90	1,454
Corporate allocation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(2,009)	(2,009)	-	-	(2,009)	(2,009)
Marketing - sun maid royalties	-	-	-	-	-	-	843	843	-	-	-	-	-	-	-	-	-	-	843	843
Pension adjustment	-	-	-	-	-	-	-	-	-	-	-	-	(461)	-	-	(461)	(461)	-	-	(461)
Pension adjustment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(499)	(499)	-	-	(499)	(499)
Admin - bad debt re-class	-	-	-	-	1,317	-	-	1,317	-	-	-	-	-	-	-	-	1,317	-	-	1,317
Admin - bad debt adj.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	475	475	-	-	475	475
gen mgt - RFE (bonus provision adj.)	-	-	381	381	-	-	2,160	2,160	-	-	1,734	1,734	-	-	-	-	-	-	426	426
Restructuring re-class	-	-	-	-	-	(211)	-	(211)	(211)	-	-	(211)	-	-	-	-	-	-	-	-
SG&A	-	-	381	381	1,106	-	3,003	4,109	(211)	-	1,734	1,523	(461)	-	(2,033)	(2,494)	856	-	(764)	92
Operating earnings	-	-	411	411	1,106	-	3,003	4,109	(211)	-	1,535	1,324	903	-	(2,142)	(1,239)	2,220	-	(674)	1,546
Interco dividend elim.	-	(50,000)	-	(50,000)	-	(3,600)	-	(3,600)	-	(3,600)	-	(3,600)	-	(2,197)	-	(2,197)	-	(2,197)	-	(2,197)
Impairment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(551)	(551)	-	-	(551)	(551)
Reclass to COGS	-	-	-	-	-	-	-	-	-	-	-	-	(903)	-	-	(903)	(903)	-	-	(903)
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(13)	(13)	-	-	(13)	(13)
Pension true up	-	-	(33)	(33)	-	-	(188)	(188)	-	-	-	-	-	-	-	-	-	-	(188)	(188)
Re-class vacancy costs/restructuring	-	-	-	-	(316)	-	-	(316)	(220)	-	-	(220)	(616)	-	-	(616)	(712)	-	-	(712)
Admin - bad debt re-class (2)	-	-	-	-	(1,317)	-	-	(1,317)	-	-	-	-	-	-	-	-	(1,317)	-	-	(1,317)
Correction of CBAM FX	-	-	-	-	-	-	(5,862)	(5,862)	-	-	-	-	-	-	-	-	-	-	(5,862)	(5,862)
Other income/expense	-	(50,000)	(33)	(50,033)	(1,633)	(3,600)	(6,050)	(11,283)	(220)	(3,600)	-	(3,820)	(1,519)	(2,197)	(564)	(4,280)	(2,932)	(2,197)	(6,614)	(11,743)
EBIT	-	(50,000)	378	(49,622)	(527)	(3,600)	(3,047)	(7,174)	(431)	(3,600)	1,535	(2,496)	(616)	(2,197)	(2,706)	(5,519)	(712)	(2,197)	(7,288)	(10,197)

Source: Management information, KPMG analysis

- The table above shows various consolidating entries recorded by the Company as part of the consolidation of Canada Bread accounts (see 'consol adj.' column in Consolidating schedules presented in Appendix 1).
- The items shown under Re-class and Elim. Columns do not have any EBITDA impact, except the items circled which have been adjusted as part of the Corp. division's quality of earnings analysis.

This entry rectifies and eliminates an incorrect accrual recorded by CBAM in other income.

Exceptional items and restructuring (1)

Exceptional items + restructuring			
\$'000	FY11	FY12	TTM Sept-13
Fresh	2,129	9,502	2,393
Frozen	8,997	13,857	15,260
UK	(21,005)	(2,123)	(3,806)
Corporate and consolidating	(40,142)	(32,999)	(32,157)
Total excluding Pasta	(50,021)	(11,763)	(18,309)
Pasta (Olivieri)	3,664	690	(673)
Total	(46,357)	(11,073)	(18,982)

Source: Management information (unaudited)

Ties back to business unit MCR and excluded from calculation of EBITDA in individual business unit's calculation of EBITDA.

FY11 and FY12 ties back to audited financial statements and balance reflects restructuring expenses. See following page for further breakdown.

Exceptional items			
\$'000	FY11	FY12	TTM Sept-13
Fresh	2,129	9,502	11,580
Frozen	8,997	13,857	15,528
UK	(21,005)	(2,123)	(178)
Corporate and consolidating	6,214	(21,926)	(26,545)
Total excluding Pasta	(3,664)	(690)	385
Pasta (Olivieri)	3,664	690	(385)
Total	(0)	(0)	0

Source: Management information (unaudited)

Exceptional items are split from above and represents intercompany debt/balances that are eliminated upon consolidation.

Eliminated on a consolidated basis

Restructuring			
\$'000	FY11	FY12	TTM Sept-13
Fresh	-	-	(9,188)
Frozen	-	-	(267)
UK	-	-	(3,628)
Corporate and consolidating	(46,357)	(11,073)	(5,611)
Total excluding Pasta	(46,357)	(11,073)	(18,694)
Pasta (Olivieri)	-	-	(288)
Total	(46,357)	(11,073)	(18,982)

Source: Management information (unaudited)

FY11 and FY12 ties back to audited financial statements and balance reflects restructuring expenses. See following page.

FY11 and FY12 show nil due to the presentation and reclassification to Corp.

Exceptional items and restructuring (2)

Summary of restructuring expenses

\$'000	FY11	FY12	TTM Sep-13	YTD Sept-13
Fresh	(12,354)	(4,514)	(10,384)	(9,188)
Frozen	(5,209)	-	(267)	(267)
UK	(24,569)	(5,820)	(5,716)	(3,628)
Other	(4,260)	(739)	(2,327)	(1,797)
Total	(46,392)	(11,073)	(18,694)	(14,880)

Source: MCR, Discussion with Management

Note (a): Other includes amount with no specific timing information. As a result, certain other amounts were straight-line in the respective fiscal year.

Note (b): In the MCR details by business unit, exceptional items include intercompany debt/interest recapitalization amounts that eliminate upon consolidation.

- a) FY11 and FY12 ties to audited financial statements. YTD Sept-13 ties to financial statement when excluding Olivieri's portion

Restructuring charge by project

\$'000	Q1-11	Q2-11	Q3-11	Q4-11	FY11	
Fresh - Project Atlantic	-	(1,062)	-	-	(1,062)	(a)
Fresh - Trillium	(855)	(321)	(480)	(897)	(2,553)	(b)
Fresh - Clark/Delta	(759)	(1,068)	(345)	(792)	(2,964)	(c)
Fresh - Sales restructuring	-	-	-	(668)	(668)	(d)
Fresh - Project March	(5,124)	17	-	-	(5,107)	(e)
Frozen - Laval Closure	(5,152)	214	(346)	75	(5,209)	(f)
MLF - Sale of sandwich business	855	-	-	-	855	(g)
MLF - Reorg	(3,752)	-	-	-	(3,752)	(h)
UK - Rainbow	-	(8,445)	(726)	(484)	(9,655)	(i)
UK - SG&A	(671)	(859)	-	-	(1,530)	(j)
UK - Cumbria	(4,194)	-	-	(11)	(4,205)	(k)
UK - Walsal	-	-	-	(9,179)	(9,179)	(l)
Other	-	-	-	(1,363)	(1,363)	(m)
Total	(19,652)	(11,524)	(1,897)	(13,319)	(46,392)	

Source: management provided information (unaudited)

- a) Conversion of the company drop routes to franchise/operator model resulting in 90 headcount reductions
- b) Accelerated depreciation from the Fraser, Etobicoke and Central plants as part of their closure for Trillium
- c) Closure of the Delta facility in BC effective November 2011
- d) In November 2011, Fresh announced the restructuring of its senior level sales structure
- e) Elimination of 86 headcounts as part of rightsizing announced in March 2011
- f) Laval closure announced in January 2011 eliminating 55 headcount and other costs
- g) Gain on sale of sandwich business
- h) Asset write-off due to sale of sandwich business
- i) Closure of Park Royal Bakery division
- j) Announced structural improvement plans including elimination of 18 SG&A headcount
- k) Announced January 31, 2011 to cease production at the Cumbria site at end of May 2011
- l) Announced closure of Walsal at end of October and ceasing at end of March 2012. Includes onerous leases, asset write down, and redundancy payments
- m) Timing not provided, assume incurred at Q4-11

Restructuring charge by project

\$'000	Q1-12	Q2-12	Q3-12	Q4-12	FY12	
Fresh - Trillium	(1,538)	(1,321)	(97)	(1,194)	(4,150)	(a)
Fresh - Clark	(483)	(153)	274	(2)	(364)	(b)
UK - Premier Park	(7)	(7)	(7)	(2,088)	(2,109)	(c)
UK - Walsal	(3,711)	-	-	-	(3,711)	(d)
Other	-	-	(209)	(465)	(674)	(e)
Other - Olivieri	-	-	-	(65)	(65)	(f)
Total	(5,739)	(1,481)	(39)	(3,814)	(11,073)	

Source: management provided information (unaudited)

- a) Accelerated depreciation and other cash costs from the Fraser, Etobicoke and Central plants as part of their closure for Trillium
- b) Other cash costs from the Delta, BC plant closure
- c) Additional costs for onerous lease provision and other cash costs
- d) Accelerated depreciation from the Walsal location closure
- e) Grace DSD closure, timing not provided, assume occurred in Q4-12 and Q3-12
- f) Timing not provided, assume incurred at Q4-12

Exceptional items and restructuring (3)

Restructuring charge by project				
\$'000	Q1-13	Q2-13	Q3-13	YTD Sep-13
Fresh - Adrians, Grand Falls, and Shawinigan closures	(8,177)	(445)	(566)	(9,188)
Frozen - Laval closure	(137)	(27)	(103)	(267)
UK - Park Royal	-	-	(2,830)	(2,830)
UK - SG&A headcount reductions	-	(799)	-	(799)
Other	-	-	(1,797)	(1,797)
Total	(8,314)	(1,271)	(5,296)	(14,880)

(a)

(b)

(c)

- a) Closure costs including accelerated depreciation, write-downs, etc
- b) Onerous lease contract costs
- c) Derived from consolidation entries and includes primarily tax expense offset by reclasses to above EBITDA (see consolidating entry summary)

Source: management provided information (unaudited)

Restructuring charge by type					
\$'000	Q1-12	Q2-12	Q3-12	Q4-12	FY12
Asset write-off	(381)	(37)	-	(20)	(438)
Accelerated depreciation	(4,138)	(255)	(83)	(51)	(4,527)
Asset write-down	(110)	-	-	(235)	(345)
Pension	-	(193)	(84)	-	(277)
Other non-cash	-	-	-	-	-
Severance	-	-	-	(1,363)	(1,363)
Other retention	(35)	118	(35)	(327)	(279)
Other cash costs	(1,075)	(1,114)	163	(1,818)	(3,844)
Total	(5,739)	(1,481)	(39)	(3,814)	(11,073)

Source: management provided information (unaudited)

Restructuring charge by type					
\$'000	Q1-11	Q2-11	Q3-11	Q4-11	FY11
Asset write-off	(10,923)	(4,595)	-	(38)	(15,556)
Inventory write-off	-	(100)	-	(814)	(914)
Accelerated depreciation	(217)	(494)	(457)	(3,375)	(4,543)
Severance	(8,304)	(2,313)	(214)	(4,466)	(15,297)
Retention	(161)	(403)	(355)	(102)	(1,021)
Other	(47)	(3,619)	(871)	(4,524)	(9,061)
Total	(19,652)	(11,524)	(1,897)	(13,319)	(46,392)

Source: management provided information (unaudited)

CIM EBITDA adjustment reconciliation (1)

Management adjustments (Gemstone - combined)							
		Quality of earnings		CIM		Difference	
#	\$'000	FY11	FY12	FY11	FY12	FY11	FY12
1	Asset divestitures	6,590	2,536	6,588	2,542	2	(6)
2	Restructuring	2,952	5,657	2,980	3,992	(27)	1,665
3	Operational inefficiencies	21,322	26,712	6,163	17,159	15,159	9,553
4	Other	(153)	(345)	-	(345)	(153)	-
Total adjustments		30,711	34,560	15,731	23,348	14,980	11,212

Management adjustments (Gemstone - combined) - By division							
		Quality of earnings		CIM		Difference	
	\$'000	FY11	FY12	FY11	FY12	FY11	FY12
	Fresh	23,466	26,505	8,487	15,780	14,978	10,725
	Frozen	180	3,103	180	3,755	-	(652)
	UK	4,848	3,713	4,847	3,719	2	(6)
	Corporate	2,217	1,239	2,217	94	-	1,145
Total adjustments		30,711	34,560	15,731	23,348	14,980	11,212

Refer to the following page for the details on differences by division.

Source: MCR, CIM and KPMG analysis

CIM EBITDA adjustment reconciliation (2)

Management adjustments (Fresh)								
#	\$'000	Quality of earnings		CIM		Difference		Notes
		FY11	FY12	FY11	FY12	FY11	FY12	
1 Asset divestitures		-	-	-	-	-	-	
2.1 Severance pay		548	1,476	548	1,476	0	0	
2.2 Vacant plant expenses		982	505	976	505	6	(0)	
2.3 EBITDA Sweet Goods Business (Closed)		1,014	1,912	1,048	1,392	(34)	520	Differences due to change in calculation (inclusion of Costco business).
2.4 Disposal of fixed assets		228	244	228	244	0	(0)	
2 Restructuring		2,773	4,137	2,800	3,617	(27)	520	
3.1 Duplicative overhead of Toronto bakeries		10,455	8,745	2,829	6,797	7,627	1,949	Change in calculation (excluded depreciation).
3.2 Trillium start-up inefficiencies		-	2,016	-	2,016	-	-	
3.3 Trillium strike contingency		-	720	-	720	-	-	
3.4 Transport costs to cover market shortfalls		-	-	-	-	-	-	
3.5 Tortilla line installation		-	-	-	-	-	-	
3.6 SAP implementation costs (West, Atlantic)		2,168	3,383	1,957	3,350	211	33	Change in calculation and inclusion of Atlantic.
3.6 SAP implementation costs (Atlantic)		-	-	902	-	(902)	-	Atlantic combined with West.
3.7 SG&A headcount		8,223	8,223	-	-	8,223	8,223	Proforma impact of SG&A headcount reduction was not considered earlier.
3 Operational inefficiencies		20,846	23,088	5,687	12,883	15,159	10,205	
4.1 Franchisee Route Resale		(153)	(720)	-	(720)	(153)	-	FY11 number was not included earlier.
4 Other		(153)	(720)	-	(720)	(153)	-	
Total adjustments		23,466	26,505	8,487	15,780	14,978	10,725	

Management adjustments (Frozen)								
#	\$'000	Quality of earnings		CIM		Difference		Notes
		FY11	FY12	FY11	FY12	FY11	FY12	
1 Asset divestiture		-	-	-	-	-	-	
2.1 Severance		180	375	180	375	-	-	
2 Restructuring		180	375	180	375	-	-	
3.1 Roanoke manufacturing variances		-	2,354	-	3,006	-	(652)	Differences due to change in Roanoke variance calculation.
3 Operational efficiencies		-	2,354	-	3,006	-	(652)	
4.1 Management bonus		-	375	-	375	-	-	
4 Other		-	375	-	375	-	-	
Total adjustments		180	3,103	180	3,755	-	(652)	

Source: MCR, CIM and KPMG analysis

CIM EBITDA adjustment reconciliation (3)

Management adjustments (UK)								
#	\$'000	Quality of earnings		CIM		Difference		Notes
		FY11	FY12	FY11	FY12	FY11	FY12	
1.1	EBITDA of Specialty business	4,373	2,442	4,371	2,448	2	(6)	Minor difference due to FX rates.
1.2	Loss on sale of Premier Park	-	-	-	-	-	-	
1	Asset divestitures	4,373	2,442	4,371	2,448	2	(6)	
2	Restructuring	-	-	-	-	-	-	
3.1	Start-up costs at Maidstone	476	-	476	-	-	-	
3.2	Start-up costs on transfer to 3rd party	-	635	-	635	-	-	
3.3	Start-up costs for Tesco Viennoiserie	-	635	-	635	-	-	
3.4	Bagel storage	-	-	-	-	-	-	
3	Operational inefficiencies	476	1,271	476	1,271	-	-	
4	Other	-	-	-	-	-	-	
Total adjustments		4,848	3,713	4,847	3,719	2	(6)	

Management adjustments (Corp)								
#	\$'000	Quality of earnings		CIM		Difference		Notes
		FY11	FY12	FY11	FY12	FY11	FY12	
1.1	EBITDA Food to go loss elimination	2,217	94	2,217	94	-	-	
1.2	Gain on sale of PPE	-	-	-	-	-	-	
1	Asset divestitures	2,217	94	2,217	94	-	-	
2.1	Plant vacancies	-	1,145	-	-	-	1,145	Earlier this adjustment was considered in TTM Jun-13 numbers only.
2	Restructuring	-	1,145	-	-	-	1,145	
3	Operational inefficiencies	-	-	-	-	-	-	
4	Other	-	-	-	-	-	-	
Total adjustments		2,217	1,239	2,217	94	-	1,145	

Source: MCR, CIM and KPMG analysis

Appendix 6

Fresh – Sweet Goods business

Sweet goods business						
			YTD		YTD	TTM
\$'000	FY11	FY12	Q3-FY12	Q4-FY12	Q3-FY13	Sept-13
Sales - Retail	30,191	22,633	16,809	5,824	12,188	18,012
Sales - Foodservice	425	952	254	698	139	837
Sales - Intercompany	272	226	186	40	42	82
Sales - Intracompany	4,242	2,197	1,826	371	-	371
Sales - Export	-	-	-	-	-	-
Sales - Thrift	-	-	-	-	-	-
Total sales	35,130	26,008	19,075	6,933	12,369	19,302
Less: Costco sales	(6,357)	(7,410)	(5,529)	(1,881)	(7,786)	(9,667)
Net sales	28,773	18,598	13,546	5,052	4,583	9,635
External sales discount	13.2%	13.2%	13.2%	13.2%	13.2%	13.2%
External sales	24,963	16,135	11,752	4,383	3,976	8,360
GP - Retail	148	(1,044)	(927)	(117)	(249)	(366)
GP - Foodservice	107	304	69	235	(79)	156
GP - Intercompany	13	11	9	2	2	4
GP - Intracompany	553	143	81	62	-	62
GP - Export	-	-	-	-	-	-
GP - Thrift	-	-	-	-	-	-
GF Mfg Variance	(837)	581	215	366	(159)	207
Shawinigan Mfg Variance	(1,248)	(1,889)	(1,260)	(629)	(934)	(1,563)
Royalties	(250)	(153)	(115)	(38)	(125)	(163)
A&P spend	(600)	(467)	(350)	(117)	-	(117)
Operating profit	(2,114)	(2,514)	(2,278)	(236)	(1,544)	(1,780)
GF Depreciation	463	469	352	117	304	421
Shawinigan Depreciation	603	653	486	167	501	668
EBITDA	(1,048)	(1,392)	(1,440)	48	(739)	(691)
Less: Costco gross profit	34	(520)	(389)	(131)	(557)	(688)
Net EBITDA impact	(1,014)	(1,912)	(1,829)	(83)	(1,296)	(1,379)

Source: Management information (unaudited)

See Fresh quality of earnings adjustment #2 for additional details.

The Company continues to sell certain sweet goods to Costco made by another company on a resale basis. Revenue and costs of these transactions with Costco are included in the Sweet Goods division. Accordingly, the EBITDA adjustment is net of the historical gross profit generated from Costco as the transactions with Costco are expected to continue in the future.

Appendix 7

Fresh – Duplicative overheads

Trillium duplicative overhead						
\$'000	FY11	FY12	YTD Q3-FY12	YTD Q4-FY12	YTD Q3-FY13	TTM Sept-13
Plant overheads						
Fraser	(11,149)	(811)	(805)	(6)	(10)	(16)
Central	(6,288)	(156)	(156)	0	-	0
Etobicoke	(11,840)	(11,663)	(8,752)	(2,911)	(4,310)	(7,221)
Trillium	(8,696)	(27,547)	(20,412)	(7,135)	(25,631)	(32,766)
Total plant overheads	(37,973)	(40,176)	(30,125)	(10,051)	(29,951)	(40,002)
Depreciation						
Fraser	659	16	16	-	8	8
Central	775	157	144	13	79	92
Etobicoke	1,808	1,304	1,013	291	607	898
Trillium	1,474	7,152	4,866	2,286	7,266	9,552
Total depreciation	4,716	8,629	6,039	2,590	7,960	10,550
Total overheads net of depreciation	(33,257)	(31,547)	(24,086)	(7,461)	(21,991)	(29,452)
Less: One-time outside services	-	-	-	-	-	-
Net overheads	(33,257)	(31,547)	(24,086)	(7,461)	(21,991)	(29,452)
Less: Trillium normal FY14 overheads	(22,802)	(22,802)	(17,102)	(5,701)	(17,102)	(22,802)
Duplicative overheads	10,455	8,745	6,985	1,761	4,890	6,650
Less: Considered separately in other EBITDA adjustment						
Less: Relocation cost of Tortilla lines	-	-	-	-	(603)	(603)
Duplicative overheads	10,455	8,745	6,985	1,761	4,287	6,047

Source: Management information (unaudited)

Trillium overhead costs	
Trillium	FY14B
Production Volume (000's KG)	71,752
General Production	(5,971)
Quality Control	(596)
Manufacturing Services	(542)
Subtotal	(7,109)
Maintenance	(7,488)
Sanitation	(3,084)
Total Controllable Overhead	(17,681)
Insurance & Tax	(1,468)
Depreciation	(9,804)
Utilities	(2,736)
National Allocation	(1,817)
Total Non-Controllable Overhead	(15,824)
Total Overhead	(33,506)
Less: Depreciation	9,804
Less: One-time outside services	900
Total Overhead	(22,802)

Source: Management information (unaudited)

Production volume				
			TTM	
'000 kg	FY11	FY12	Sept13	FY14F
Central	10,410	89	-	-
Fraser	34,053	682	-	-
Etobicoke	15,861	16,190	8,448	-
Trillium	7,786	51,219	61,221	71,752
Total	68,110	68,180	69,669	71,752

Source: Management information (unaudited)

See Fresh quality of earnings adjustment #3 for additional details.

Product handling and freezing - Trillium strike																		
\$'000	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13	FY11	FY12	TTM Sept-13	
Atlantic - Line haul	(58)	(170)	(3)	(2)	(2)	-	-	-	-	-	-	-	-	-	-	(234)	(6)	
Quebec - Line haul	-	-	-	-	(79)	(12)	(16)	-	-	-	-	-	-	-	-	(79)	(108)	
Ontario - Line haul	(12)	(74)	(17)	(16)	(13)	(19)	(2)	(15)	-	-	-	-	-	-	-	(132)	(81)	
Ontario - Storage	(2)	(4)	(79)	(93)	(51)	(126)	(116)	(174)	(103)	(67)	4	(10)	-	-	-	(229)	(815)	
West - Storage	-	-	-	(46)	-	-	-	-	-	-	-	-	-	-	-	(46)	(46)	
DPC difference on Etobicoke SKUs	-	-	-	-	-	(61)	(88)	(105)	(85)	(87)	(42)	-	-	-	-	-	(468)	
DPC Variance at Etobicoke	-	-	-	-	-	(34)	(29)	(84)	(15)	(58)	(92)	(4)	-	-	-	-	(316)	
Total	(71)	(249)	(98)	(156)	(146)	(252)	(251)	(378)	(203)	(212)	(130)	(14)	-	-	-	(720)	(1,840)	
Source: Management information (unaudited)																		

Source: Management information (unaudited)

Notes:

- Line haul expenses include freight, fuel, and trailer rental expenses for transportation between two plants.
- Ontario storage costs include freezing, thawing and stickering expenses. West storage expenses consist of costs of boxing the product.

See Fresh quality of earnings adjustment #3 for additional details.

Fresh – Transport costs to cover shortfalls

Transport costs to cover market shortfalls		
		TTM Sep-13
<i>Atlantic Food Service Loads</i>	29	
<i>Atlantic Pantry Loads</i>	22	
<i>Atlantic Eng Muffin Loads</i>	3	
<i>Total Loads</i>	54	
Total Costs		205
<i>Quebec Food Service Loads</i>	175	
<i>Quebec Pantry Loads</i>	144	
<i>Total Loads</i>	319	
Total Costs		433
<i>Total loads</i>	319	
<i>Total Trays</i>	552,618	
Storage costs		42
Total costs		680

Source: Management information

See Fresh quality of earnings adjustment #3 for additional details.

Appendix 10

Fresh – SAP implementation (1)

Impact of SAP implementation		
\$'000	FY11	FY12
West		
Salaries and benefits - Operations		
<i>FTE</i>	-	2.52
<i>Salary and benefits per FTE per annum</i>	-	55
Salaries and benefits - Operations (6 months)	-	69
Salaries and benefits - Inventory controllers		
<i>FTE</i>	-	12.60
<i>Salary and benefits per FTE per annum</i>	-	55
Salaries and benefits - Inventory controllers (6 months)	-	347
Travel, Meals, Supplies & Overtime	148	260
Hourly headcount ramp up & Training	-	1,159
Sales waste (FY11, Jan-Jul'12)	1,118	1,549
Sub-total West	1,266	3,383
Atlantic		
Salaries and benefits - Operations		
<i>FTE</i>	3.50	-
<i>Salary and benefits per FTE per annum</i>	48	-
Salaries and benefits - Operations (9 months)	126	-
Salaries and benefits - Distribution		
<i>FTE</i>	1.25	-
<i>Salary and benefits per FTE per annum</i>	48	-
Salaries and benefits - Distribution (7 months)	35	-
Travel, Meals, Supplies & Overtime - Operations	192	-
Travel, Meals, Supplies & Overtime - Distribution	138	-
Training - Operations	27	-
Training - Distribution	50	-
Sales waste	334	-
Sub-total Atlantic	902	-
Total	2,168	3,383

Source: Management information (unaudited)

See Fresh quality of earnings adjustment #3 for additional details.

See next page for detailed calculation of Sales waste adjustment.

Total sales waste and plant finished goods waste by region

\$'000	Jan-11	Feb-11	Mar-11	Apr-11	May-11	Jun-11	Jul-11	Aug-11	Sep-11	Oct-11	Nov-11	Dec-11	Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	FY09	FY10	FY11	FY12
EAST																												
Sales Waste Standard	(95)	(74)	(85)	(68)	(101)	(106)	(121)	(111)	(150)	(87)	(85)	(105)	(89)	(134)	(180)	(143)	(156)	(203)	(167)	(160)	(191)	(142)	(143)	(171)	(1,765)	(1,611)	(1,188)	(1,879)
Variance	(151)	66	(80)	(79)	(247)	164	64	(98)	(73)	(69)	(26)	138	(53)	35	78	61	91	72	44	92	102	64	76	97	(1)	(53)	(393)	759
Total EAST Sales Waste	(246)	(8)	(165)	(147)	(348)	58	(57)	(209)	(223)	(156)	(111)	33	(142)	(99)	(102)	(82)	(64)	(130)	(123)	(68)	(89)	(78)	(67)	(75)	(1,767)	(1,665)	(1,581)	(1,120)
Plant Finished Goods Waste Standard	(16)	(16)	(20)	(16)	(16)	(20)	(16)	(16)	(20)	(16)	(16)	(20)	(43)	(43)	(53)	(43)	(43)	(53)	(43)	(43)	(53)	(43)	(43)	(53)	-	-	(208)	(555)
PFGW Variance	16	(8)	(46)	(19)	0	(55)	(69)	(54)	(41)	(49)	(25)	(41)	(9)	13	33	21	20	30	29	34	10	22	28	40	(151)	(109)	(391)	271
Total East PFGW	-	(24)	(66)	(35)	(16)	(75)	(85)	(70)	(61)	(65)	(41)	(61)	(51)	(30)	(20)	(21)	(23)	(23)	(13)	(8)	(43)	(21)	(15)	(13)	(151)	(109)	(599)	(284)
Total EAST Waste	(246)	(32)	(231)	(182)	(364)	(18)	(142)	(280)	(284)	(221)	(152)	(28)	(194)	(130)	(122)	(104)	(87)	(154)	(137)	(76)	(132)	(99)	(81)	(88)	(1,918)	(1,774)	(2,180)	(1,404)
Monthly FY09-10 Avg.	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)	(154)
Adjustment	(92)	121	(77)	(29)	(210)	136	12	(126)	(130)	(67)	2	125	(40)	24	31	50	67	0	17	78	22	55	73	66				
WEST																												
Sales Waste Standard	(193)	(188)	(236)	(197)	(214)	(272)	(215)	(204)	(263)	(191)	(193)	(217)	(152)	(214)	(271)	(221)	(245)	(307)	(240)	(234)	(294)	(219)	(217)	(271)	(2,812)	(2,786)	(2,582)	(2,886)
Variance	138	11	(465)	54	(506)	40	37	14	(38)	(581)	32	(919)	(849)	147	(295)	(5)	(68)	28	(107)	119	121	82	85	158	(780)	(220)	(2,181)	(583)
Total WEST Sales Waste	(55)	(177)	(701)	(142)	(720)	(231)	(178)	(190)	(300)	(771)	(161)	(1,135)	(1,001)	(67)	(566)	(226)	(313)	(279)	(347)	(115)	(173)	(136)	(132)	(113)	(3,592)	(3,006)	(4,763)	(3,469)
Plant Finished Goods Waste Standard	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
PFGW Variance	3	(0)	5	7	(7)	28	4	-	7	5	(2)	(364)	(134)	(168)	(125)	(52)	(40)	(96)	(38)	(99)	(48)	(30)	(31)	(33)	28	38	(312)	(897)
Total West PFGW	3	(0)	5	7	(7)	28	4	-	7	5	(2)	(364)	(134)	(168)	(125)	(52)	(40)	(96)	(38)	(99)	(48)	(30)	(31)	(33)	28	38	(312)	(897)
Total WEST Waste	(52)	(177)	(696)	(135)	(727)	(203)	(174)	(190)	(293)	(766)	(163)	(1,499)	(1,136)	(236)	(690)	(278)	(354)	(375)	(385)	(214)	(221)	(167)	(163)	(147)	(3,564)	(2,968)	(5,075)	(4,365)
Monthly FY09-10 Avg.	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)	(272)
Adjustment	220	95	(424)	137	(454)	69	98	82	(21)	(494)	109	(1,227)	(863)	36	(418)	(6)	(81)	(103)	(112)	58	51	105	109	126				

Source: Management information (unaudited)

Adds up to \$1.118 million

Adds up to \$1.549 million

See Fresh quality of earnings adjustment #3 for additional details.

Fresh - Headcount reduction and indicative savings

Function	Headcount	Annual compensation (c)	Average termination date	Indicative savings for TTM Sept13 (a)	Indicative savings for FY13
Supply Chain Sub-Total	19	1,683	9-Mar-13	739	315
Field Sales Sub-Total	27	2,968	8-Feb-13	1,078	330
Marketing Sub-Total	5	1,113	30-Jan-13	372	91
Finance	20	1,919	10-Mar-13	821	337
HR	5	505	14-Mar-13	242	115
Production	6	777	16-Mar-13	354	158
Other	8	940	14-Feb-13	343	106
Total	90	9,905		3,950	1,454
Less replacement headcount (b)	(18)	(1,682)	1-Apr-13	(841)	(421)
Net savings	72	8,223		3,109	1,033

See Fresh quality of earnings adjustment #3 for additional details.

Source: Management information (unaudited)

Notes:

(a) Indicative TTM September 2013 savings is calculated based on the elapsed date from September 30, 2012 to the date of termination / 365 * annual compensation for each terminated employee. The above table summarizes the details by function

(b) Replacement headcount for TTM September 2013 is based on six months from October 1, 2012 to March 31, 2013.

(c) Includes salary, bonus, benefits, and other.

Other income - Non-recurring																										
																						TTM				
\$'000		Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13	FY11	FY12	Sept-13	
i.	Bad Debt Reserve	-	-	-	-	-	-	-	-	-	-	-	1,014	-	-	-	-	-	-	-	-	-	-	1,014	1,014	
ii.	Adrian's decommissioning costs	-	-	-	-	-	-	-	-	(493)	-	493	-	-	-	-	-	-	-	-	-	-	-	-	493	
iii.	Laval Tax Appeal	-	-	-	-	-	-	-	-	640	-	-	-	-	-	-	-	-	-	-	-	-	-	640	-	
iv.	Spare Parts inventory cleanup	-	-	-	-	-	397	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	397	-	
v.	Packaging write-off	-	-	(125)	-	-	-	(50)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(175)	-	
vi.	Correction of billing adjustments	-	-	-	-	-	-	-	-	(240)	-	-	-	-	-	-	-	-	-	-	-	-	-	(240)	-	
vii.	Quebec franchisee receivable	-	-	(261)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(261)	-	
viii.	Hamilton PY property tax	-	-	-	-	-	(500)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(500)	-	
ix.	CSST Retro adj	-	-	-	-	-	-	-	-	-	-	(480)	-	-	-	-	-	-	-	-	-	-	-	(480)	(480)	
x.	CSST	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(514)	-	-	-	-	-	-	-	-	(514)	
Total		-	-	(386)	-	-	(103)	(50)	-	(93)	-	13	1,014	-	-	(514)	-	-	-	-	-	-	-	-	396	513

Source: MCR reports and KPMG analysis

See Fresh quality of earnings adjustment #7 for additional details.

Trillium start-up inefficiencies

																							TTM	
\$'000	Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13	FY12	Sept-13	
Raw Materials	(178)	(161)	(383)	(207)	(132)	(197)	(151)	(179)	(168)	(68)	(50)	(56)	(73)	(100)	(128)	(118)	(72)	(164)	(206)	(232)	(230)	(1,930)	(1,497)	
Packaging	44	(14)	37	13	19	19	8	2	42	84	83	94	4	(13)	(14)	(6)	(5)	(24)	(6)	(18)	(13)	431	166	
Direct Labour - Efficiency	-	-	2	(26)	25	(90)	(54)	(100)	(130)	(54)	(95)	(82)	(76)	(97)	(123)	(158)	(155)	(297)	(258)	(201)	(334)	(604)	(1,930)	
Direct Labour - Rate	(16)	72	13	(14)	57	(23)	16	21	15	1	(42)	(49)	(14)	19	(157)	44	20	265	125	144	191	51	547	
Direct Labour - Overtime	6	4	(2)	16	(8)	2	(6)	4	3	11	8	(2)	6	6	3	(5)	(23)	(20)	(28)	(20)	(37)	36	(100)	
Total	(144)	(99)	(333)	(218)	(39)	(289)	(187)	(252)	(238)	(26)	(96)	(95)	(153)	(185)	(419)	(243)	(235)	(240)	(373)	(327)	(423)	(2,016)	(2,815)	

Source: Management information (unaudited)

Frozen – Roanoke plant efficiency

Roanoke direct product cost variance																		
\$'000		Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	FY12	TTM Sep13
Raw Materials Costs	Volume (Waste)	(72)	(35)	(109)	(159)	(173)	(238)	(194)	(178)	(107)	(81)	(65)	(71)	(78)	(113)	(112)	(1,481)	(520)
Packaging Costs	Volume (Waste)	(18)	(17)	(14)	(14)	(9)	(17)	(19)	(18)	(11)	(11)	(13)	1	(8)	(13)	(27)	(160)	(71)
Direct Labor Efficiency		(106)	(61)	(100)	(80)	(61)	(122)	(143)	(108)	(99)	(82)	(41)	(93)	(54)	(92)	(80)	(1,096)	(442)
Direct Labor Rate		51	41	34	32	15	38	16	6	15	16	20	60	30	51	124	343	301
Direct product variance		(145)	(72)	(189)	(221)	(228)	(339)	(340)	(298)	(202)	(158)	(99)	(103)	(110)	(167)	(95)	(2,394)	(732)
Overhead spend		(148)	(44)	(14)	(3)	(13)	(96)	(197)	(31)	(120)	17	(64)	101	(31)	(9)	(16)	(612)	(2)
Total variance		(293)	(116)	(203)	(224)	(241)	(435)	(537)	(329)	(322)	(141)	(163)	(2)	(141)	(176)	(110)	(3,006)	(734)
Increase in standard cost		54	54	54	54	54	54	54	54	54	54	54	54	-	-	-	652	163
Net variance (to adjusted)		(238)	(61)	(149)	(170)	(186)	(380)	(483)	(275)	(267)	(87)	(109)	52	(141)	(176)	(110)	(2,354)	(571)
Capital spend		-	-	-	-	(84)	(150)	-	-	(45)	-	-	(351)	-	(1,176)	(485)	(630)	(3,558)

Source: Management information (unaudited)

Notes:

- In FY13, Management increased the standard costs of Roanoke plant by \$652,000 to reflect to reflect the fact that a level of the adverse performance in 2012 could not reasonably be eliminated by plant actions. The 'Increase in standard cost' line in the table above represents the proforma adjustment of FY13 standard cost increase.

See Frozen quality of earnings adjustment #3 for additional details.

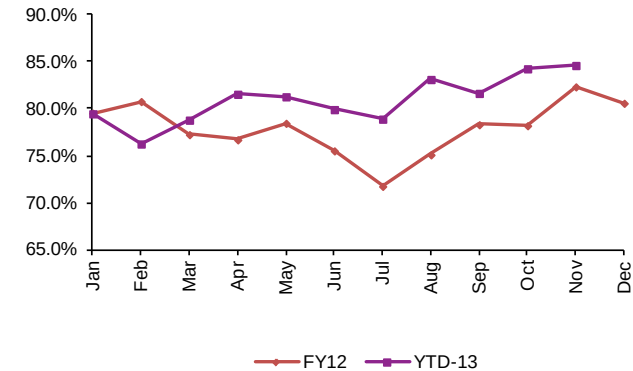
Roanoke plant efficiency												
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
# of cases (max)												
FY12	595,681	647,624	843,154	677,431	720,646	840,232	639,355	637,911	804,948	640,740	643,535	739,381
YTD-13	671,100	604,935	841,100	671,163	660,016	812,923	580,749	584,173	791,462	578,738	656,743	
# of cases actually produced												
FY12	473,804	523,163	651,396	519,629	565,461	634,634	458,768	479,137	630,394	501,123	529,906	595,901
YTD-13	533,363	461,350	662,805	547,373	536,516	649,730	458,266	485,611	646,230	487,694	555,730	
Efficiency %												
FY12	79.5%	80.8%	77.3%	76.7%	78.5%	75.5%	71.8%	75.1%	78.3%	78.2%	82.3%	80.6%
YTD-13	79.5%	76.3%	78.8%	81.6%	81.3%	79.9%	78.9%	83.1%	81.7%	84.3%	84.6%	

Source: 12-13 -Roa Efficiency.xlsx

Notes:

- The graph above shows total plant efficiency % by month from January 2012 to November 2013.
- The calculation is based on dividing the actual cases produced by the theoretical cases produced based on run time summarized by line.
- The trend clearly shows an overall improvement which is reflective of the variance improvement seen in Roanoke's results.

Roanoke plant efficiency





TMA Accrual true-up																																							
\$'000	Jan-11	Feb-11	Mar-11	Apr-11	May-11	Jun-11	Jul-11	Aug-11	Sep-11	Oct-11	Nov-11	Dec-11	Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13	FY11	FY12	TTM			
TMA Accrual true-up	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(126)	125	1,665	(744)	745	-	-	-	-	1,566	379	-	-	-	-	-	920	-	1,666	2,887	
Straightlining of TMA Accrual true-up	-	-	-	-	-	-	-	-	-	-	-	-	-	(239)	(239)	(239)	(239)	(239)	(239)	(239)	(239)	(239)	(239)	(239)	-	-	-	-	-	-	-	-	-	-	-	(2,866)	(716)		
Adjusted TMA Accrual true-up	-	-	-	-	-	-	-	-	-	-	-	-	-	(239)	(239)	(239)	(239)	(239)	(239)	(365)	(114)	1,426	(982)	506	(239)	-	-	1,566	379	-	-	-	-	-	920	-	1,200	2,151	
2012 related TMA expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(431)	53	(397)	(14)	(153)	(375)	(5)	-	(25)	-	-	(1,347)	337	
Straightlining of 2012 related TMA expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	112	112	112	112	112	112	112	112	112	112	-	-	-	-	-	-	-	-	-	-	-	-	-	1,347	
Adjusted 2012 related TMA expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	112	112	112	112	112	112	112	112	112	112	-	(431)	53	(397)	(14)	(153)	(375)	(5)	-	(25)	-	-	-	1,347	
Net TMA Accrual true-up adjustment	-	-	-	-	-	-	-	-	-	-	-	-	-	(127)	(127)	(127)	(127)	(127)	(127)	(253)	(1)	1,538	(870)	619	(127)	-	(431)	53	1,169	365	(153)	(375)	(9)	-	895	-	-	147	1,141
Source: Management information																																							

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UK specialty business disposal - historical results				
£'000	FY11	FY12	TTM Sept-13	2013F
Walsall external sales	20,350	3,090	-	-
Premier Park external sales	12,854	14,658	8,693	6,143
External sales (£'000)	33,204	17,748	8,693	6,143
External sales (\$'000)	52,694	28,099	13,663	9,460
Walsall GP	(2,242)	(542)	-	-
Walsall Depreciation	501	83	-	-
Premier Park GP	(382)	(448)	(216)	(122)
Premier Park Depreciation	568	414	174	104
SG&A	(1,200)	(1,050)	(500)	(333)
EBITDA (£'000)	(2,755)	(1,543)	(542)	(351)
EBITDA (\$'000)	(4,373)	(2,442)	(852)	(541)
Exchange Rate	1.5870	1.5832	1.5724	1.5400

Source: Management information (unaudited)

Estimating TTM September 2013				
Jan-Jun-12	Jul-Dec-12	Q4-12 (a)	YTD Jun-13 (b)	TTM Sept-13 (a) +(b)
3,090	-	-	-	-
7,008	7,650	2,550	6,143	8,693
10,098	7,650	2,550	6,143	8,693
16,001	12,098	4,033	9,631	13,663
(542)	-	-	-	-
83	-	-	-	-
(167)	(281)	(94)	(122)	(216)
205	209	70	104	174
(550)	(500)	(167)	(333)	(500)
(970)	(572)	(191)	(351)	(542)
(1,537)	(905)	(302)	(551)	(852)
1.5846			1.5678	

Note (a) = Q4-12 data was not provided and was assumed to be 1/3 of the actual Jul-12 to Dec-12 results to reflecting a slowing run-rate

Note (b) = The final results prior to closure

TTM Sept-13 = Assumed to be (a) + (b)

See UK quality of earnings adjustment #1 for additional details.

UK – Start up cost impacts expense trends

Start-up costs - Rotherham																					
	Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13
Sales (GBP'000)	2,981	3,612	4,576	3,258	3,797	4,050	3,295	2,761	4,741	3,897	3,558	4,578	3,331	4,347	4,604	4,600	3,920	4,959	3,763	3,417	5,637
% of Gross Sales																					
Materials	17.1%	29.1%	26.1%	27.5%	24.4%	27.9%	24.2%	23.6%	28.5%	29.0%	27.2%	24.6%	29.1%	29.0%	28.8%	28.2%	28.3%	28.0%	25.8%	25.3%	30.9%
Labour	8.4%	7.2%	7.3%	7.4%	7.0%	7.7%	7.3%	8.5%	7.3%	7.1%	7.9%	6.9%	6.2%	7.1%	6.8%	6.3%	7.5%	6.6%	6.4%	7.2%	6.5%
Overheads	18.2%	16.6%	14.6%	17.7%	14.9%	17.5%	18.2%	23.8%	14.0%	15.0%	18.7%	19.0%	18.3%	23.3%	19.1%	18.8%	25.8%	18.4%	22.7%	24.1%	17.1%
Freight	8.2%	8.8%	7.7%	9.5%	7.2%	8.2%	8.7%	8.5%	9.6%	10.6%	7.5%	8.4%	7.5%	5.8%	5.8%	5.7%	6.6%	5.7%	5.5%	5.1%	4.7%
Storage	0.7%	0.7%	0.8%	0.7%	0.6%	0.7%	0.7%	0.7%	1.3%	1.4%	1.5%	1.4%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Profitability overview .xlsx

See UK quality of earnings adjustment #3 for additional details.

Start-up costs - Maidstone																					
	Jan-12	Feb-12	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13	Apr-13	May-13	Jun-13	Jul-13	Aug-13	Sep-13
Sales (GBP'000)	1,724	2,210	2,578	2,101	2,033	2,546	2,004	1,879	2,403	2,110	3,042	4,522	2,745	2,991	3,975	3,047	2,904	3,448	2,596	2,546	3,170
% of Gross Sales																					
Materials	44.4%	54.3%	52.7%	48.2%	46.7%	45.3%	49.1%	47.9%	45.3%	49.1%	49.1%	51.3%	43.5%	42.7%	42.9%	40.6%	39.6%	42.3%	38.4%	38.4%	40.1%
Labour	19.9%	15.1%	15.6%	15.9%	16.9%	15.8%	15.6%	17.9%	21.4%	24.6%	18.9%	15.0%	15.2%	14.2%	13.8%	13.9%	13.4%	13.8%	14.0%	14.5%	16.0%
Overheads	22.9%	20.2%	20.5%	18.6%	27.1%	23.5%	21.9%	31.6%	15.9%	22.4%	13.9%	23.5%	22.7%	25.7%	22.6%	21.4%	26.9%	20.5%	25.9%	25.1%	24.2%
Freight	8.6%	5.5%	9.0%	8.2%	1.3%	6.0%	7.1%	7.2%	6.4%	12.1%	9.5%	10.5%	7.4%	6.1%	7.6%	7.0%	7.1%	6.1%	6.0%	5.2%	5.9%
Storage	0.1%	0.1%	0.1%	0.1%	0.2%	0.2%	0.3%	0.2%	1.7%	1.6%	1.6%	1.6%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Profitability overview .xlsx

From January 2013, storage costs have been reclassified to COGS.

Frozen – Capital expenditure by project type

Frozen - capex by project type												
\$'000	Actual spending			Budget			Variance (\$)			Actual against budget (%)		
	FY11	FY12	YTD Sept-13	FY11	FY12	YTD Sept-13	FY11	FY12	YTD Sept-13	FY11	FY12	YTD Sept-13
Health and safety	732	468	237	1,132	852	493	400	384	256	64.7%	54.9%	48.1%
Food Safety	42	531	434	1,323	871	1,235	1,281	340	801	3.2%	61.0%	35.1%
Environmental sustainability	307	9	-	457	180	110	150	171	110	67.2%	5.0%	-
Profit maintenance / Replacement	6,567	4,219	2,897	9,274	5,939	6,212	2,707	1,720	3,315	70.8%	71.0%	46.6%
Profit Enhancement	3,320	855	1,445	5,868	5,381	2,160	2,548	4,526	715	56.6%	15.9%	66.9%
Business information systems	16	62	-	61	40	-	45	(22)	-	26.2%	155.0%	-
Total Frozen capex	10,984	6,144	5,013	18,115	13,263	10,210	7,131	7,119	5,197	60.6%	46.3%	49.1%

Source: MCR and KPMG analysis

Higher spend in FY11 relates to improvements in the lines related to bagel items in the Rivermede plant and upgrading of machinery in the Calgary plant.
YTD Sept-13 spend primarily relates to spend at Roanoke including various line upgrades.



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